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TABLED BY: Hon. Owen Baya MP
Deputy Leader, Majority
CLERK AT THE TABLE: Miriam Modo

REPORT OF THE AUDITOR-GENERAL ON NATIONAL GOVERNMENT CONSTITUENCIES DEVELOPMENT FUND - RARIEDA CONSTITUENCY

FOR THE YEAR ENDED 30 JUNE, 2022

OFFICE OF THE AUDITOR GENERAL
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RARIEDA CONSTITUENCY

NATIONAL GOVERNMENT CONSTITUENCIES DEVELOPMENT FUND

REPORTS AND FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED
30th JUNE 2022

Prepared in accordance with the Cash Basis of Accounting Method under the International Public Sector Accounting Standards (IPSAS)

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I. Key Constituency Information and Management

(a) Background information

The National Government Constituencies Development Fund (NG-CDF) formerly Constituencies Development Fund (CDF), is established under the NG-CDF Act 2015 as amended in 2016.The Act is a successor to the Constituencies Development Fund (CDF) Act of 2003 which initiated the Fund and its subsequent amendments/reviews of 2007 and 2013. At cabinet level, NG-CDFis represented by the Cabinet Secretary for the Treasury, who is responsible for the general policy and strategic direction of the Fund.

Mandate

The mandate of the Fund as derived from sec (3) of NG-CDF Act, 2015 is to:

a) Recognize the constituency as a platform for identification, performance and implementation of national government functions;
b) Facilitate the performance and implementation of national government functions in all parts of the Republic pursuant to Article 6(3)of the Constitution;
c) Provide for the participation of the people in the determination and implementation of identified national government development projects at the constituency level pursuant to Article 10(2)(a) of the Constitution;
d) Promote the national values of human dignity, equity, social justice, inclusiveness, equality, human rights, non-discrimination and protection of the marginalized pursuant to Article 10 (2) (b) of the Constitution;
e) Provide for the sustainable development of all parts of the Republic pursuant to Article 10 (2) (d) of the Constitution;
f) Provide a legislative and policy framework pursuant to Article 21 (2) of the Constitution for the progressive realization of the economic and social rights guaranteed under Article 43 of the Constitution;
g) Provide mechanisms for the National Assembly to deliberate on and resolve issues of concern to the people as provided for under Article 95 (2) of the Constitution;
h) provide for a public finance system that promotes an equitable society and in particular expenditure that promotes equitable development of the country by making special provisions for marginalized groups and areas pursuant to Article 201 (b) (iii) of the Constitution;
i) Authorize withdrawal of money from the Consolidated Fund as provided ' under Article 206 (2) (c) of the Constitution;
j) Provide mechanisms for the National Assembly to facilitate the involvement of the people in the identification and implementation of projects for funding by the national government at the constituency level; and
k) Provide for mechanisms for supplementing infrastructure development at the constituency level in matters falling within the functions of the national government at that level in accordance with the Constitution

Vision

Equitable Socio-economic development countrywide

Mission

To provide leadership and policy direction for effective and efficient management of the Fund

Core Values

1. **Patriotism** – we uphold the national pride of all Kenyans through our work

2. **Participation of the people**- We involve citizens in making decisions about programmes we fund
3. **Timeliness** – we adhere to prompt delivery of service
4. **Good governance** – we uphold high standards of transparency, accountability, equity, inclusiveness and integrity in the service of the people
5. **Sustainable development** – we promote development activities that meet the needs of the present without compromising the ability of future generations to meet their own needs.

Functions of NG-CDF Committee

The Functions of the NG-CDF Committee is as outlined in section 11 of The National Government Constituencies Development Fund Regulations, 2016.

(b) Key Management

The Rarieda ConstituencyNGCDF day-to-day management is under the following key organs:

i. National Government Constituencies Development Fund Board (NGCDFB)
ii. National Government Constituency Development Fund Committee (NGCDFC)

(c) Fiduciary Management

The key management personnel who held office during the financial year ended 30th June 2022 and who had direct fiduciary responsibility were:

No	Designation	Name
1.	A.I.E holder	Kennedy Chacha
2.	Sub-County Accountant	TeraffinMogaka
3.	Chairman NGCDFC	Dr. Paul OchandaSaoke
4.	Member NGCDFC	Emma AtienoOtieno

(d) Fiduciary Oversight Arrangements

The Audit and Risk Management Committee (ARMC)of NGCDF Board provide overall fiduciary oversight on the activities of Rarieda Constituency NGCDF. The reports and recommendation of ARMC when adopted by the NGCDF Board are forwarded to the Constituency Committee for action. Any matters that require policy guidance are forwarded by the Board to the Cabinet Secretary and National Assembly Select Committee.

(e) Rarieda Constituency NGCDF Headquarters

P.O. Box 121
NYILIMA
The Office is situated at District Headquarters in Aram

(f) Rarieda Constituency NGCDF Contacts

Telephone: (254) 722471936
E-mail: cdfrarieda@ngcdf.go.ke
Website: www.ngcdf.go.ke

(g) Rarieda Constituency NGCDF Bankers

Cooperative Bank of Kenya Limited
Branch: Kisumu Branch
Account Number: 0114129559700

(h) Independent Auditors

Auditor General
Office of the Auditor General
Anniversary Towers, University Way
P.O. Box 30084
GPO 00100
Nairobi, Kenya

(i) Principal Legal Adviser

The Attorney General
State Law Office
Harambee Avenue
P.O. Box 40112
City Square 00200
Nairobi, Kenya

II. NG-CDFC Chairman's Report

(One to two pages)

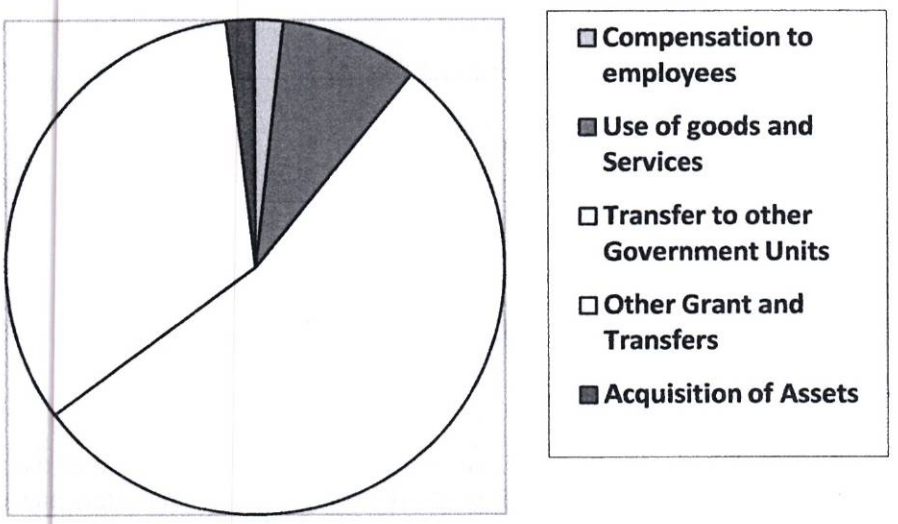
Dr. Paul Saoke
RARIEDA NGCDFC
CHAIRPERSON.

This year, Rarieda Constituency Development Fund approved budget was Kshs. 137,088,879 of which NG-CDF Board disbursed the whole amount to the constituency before the end of the financial year.

a) Allocation to Projects

During the year, the constituency total receipt stood at Ksh 197,903,562 with Ksh 137,088,879 from original budget, Ksh 15,696,804 from opening balance, Ksh 45,088,879 from previous years outstanding disbursements and 29,000 from appropriation in aid. The receipt was voted as follows; **54%** allocated towards the infrastructural development in government institutions, **33%** of the funds was allocated towards other grants and transfers, **9%** towards use of goods and services, **2%** towards Acquisition of assets and the balance of **2%** the funds allocated towards compensation of employees as shown below

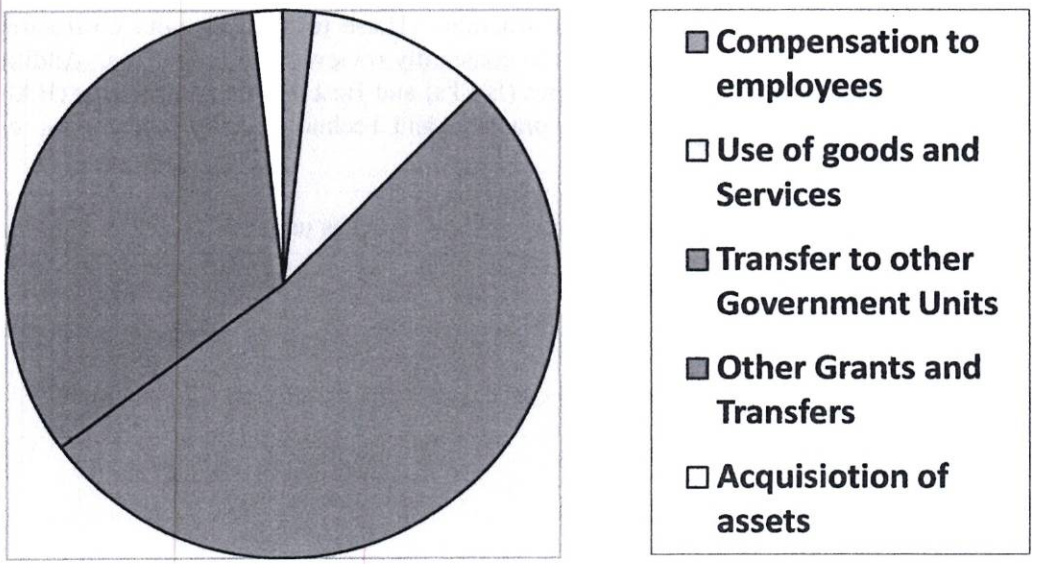
ALLOCATION OF FUNDS



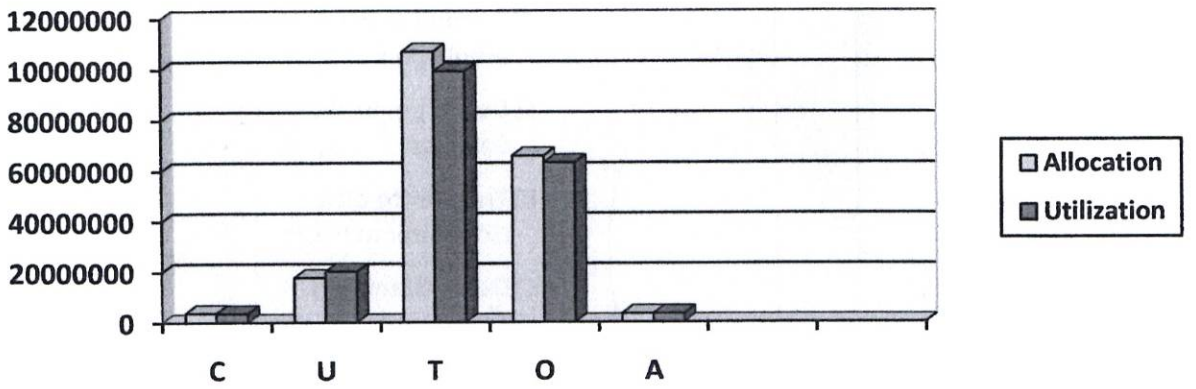
b) Utilization of Funds

Utilization of funds stood at 97% from 91% the previous year a 6% increase. The increase in utilization was attributed receipt of previous years outstanding balances at the Board and receipt of the whole original budget before the closure of the financial The overall utilization of funds during the year was follows graphically;

UTILIZATION OF FUNDS



COMPARISION BETWEEN ALLOCATION AND UTILIZATION



As we usher in the 2022/2023 Finncial Year, it is important to reflect on the performance of the Rarieda NG-CDF Committee's achievments and chllenges including shortcomings. Our committee has continued to perform functions as stipulated in the NG-CDF Act of 2016. The Act limits the fund to undertake infrastructural development of Educational and Security institutions. Other functions permitted under the Act include Environment and Sports even though these are allocated severely limited funds by Act.
The approved budget for the 2021/2022 Funancial Year was Ksh. 137,088,879.31 which was fully disbursed to the Constituency for the approved project.

Activities of the Fund continue to be luminous at the grassroots level. There is however need to address the broader and cross-cutting problem of climate change. We received overwhleming requests for pit latrines especially in areas where the soils are unstable. This calls for a paradigm shift inclined towards adoption of new, cost effective and more efficient technologies which include butnot limit to bio-digesters. The environmental benefits of these technologies are widely documented. The current NG-CDF policy guidelines emphasize the use of stones in the construction sector. There are however newer, better and cost effective materials and technologies in building and construction. These technologies cut costruction costs by huge margins. It is therefore important for the Board to constantly review these guidelines. Additionally the Board should also establish Best Avaliable Technologies (BATs) and Best Available Practices (BAPs) in all sectors. This could also include standardization of these practices and Technologies by establishing regional centers of excelence.

Some of the implemented projects by the Committee are outlined as under:

Figure 1:Mirau Primary School, Completion of two classrooms, Front View.

Figure 2:LuandaKotieno Primary School, Construction of One Classroom to Completion.

Figure 3: Chianda Primary School, Completion of a 3 roomed staffs quarters.

Figure 4: Construction of a 4Number Door Pit Latrine at the Sub County Offices in Aram.

Figure 5: Fencing and Installation of a gate at Malanga Primary School.

Figure 6: Fencing and Installation of a Gate at Majango Primary School.

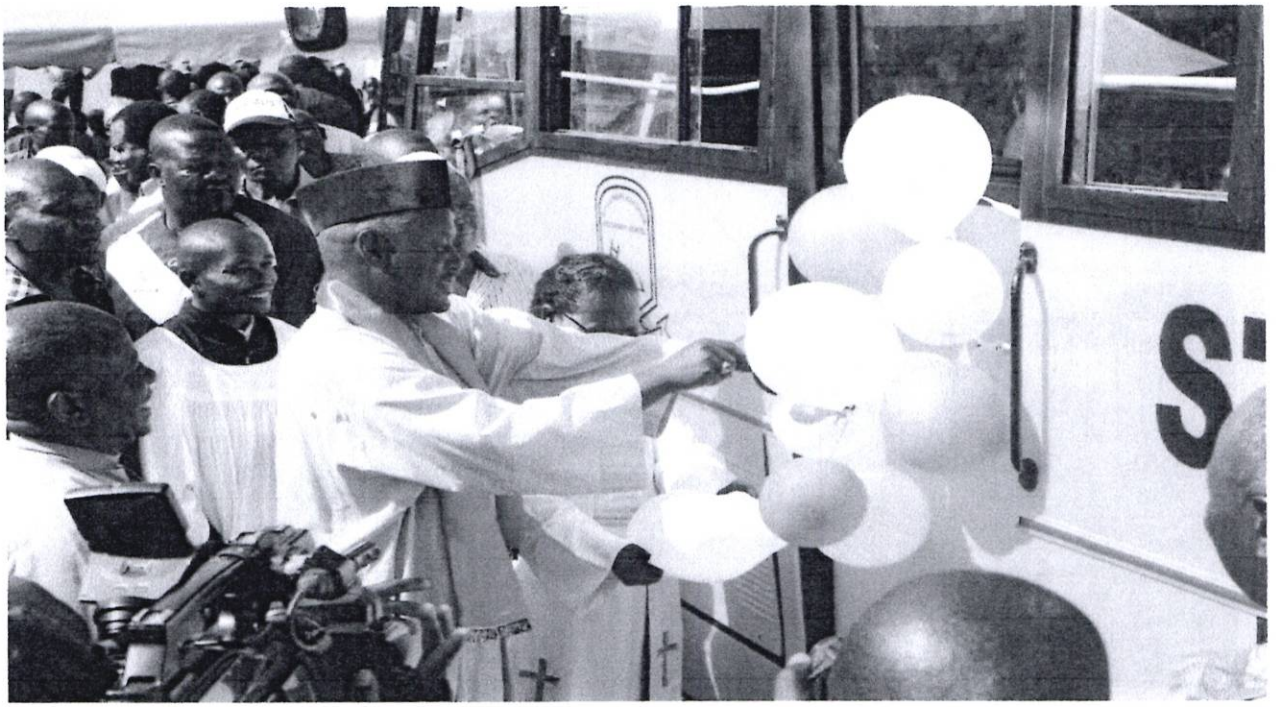


Figure 7: Rarieda Constituency Member of Parliament Launching the PurchasedKandaria Secondary School bus.

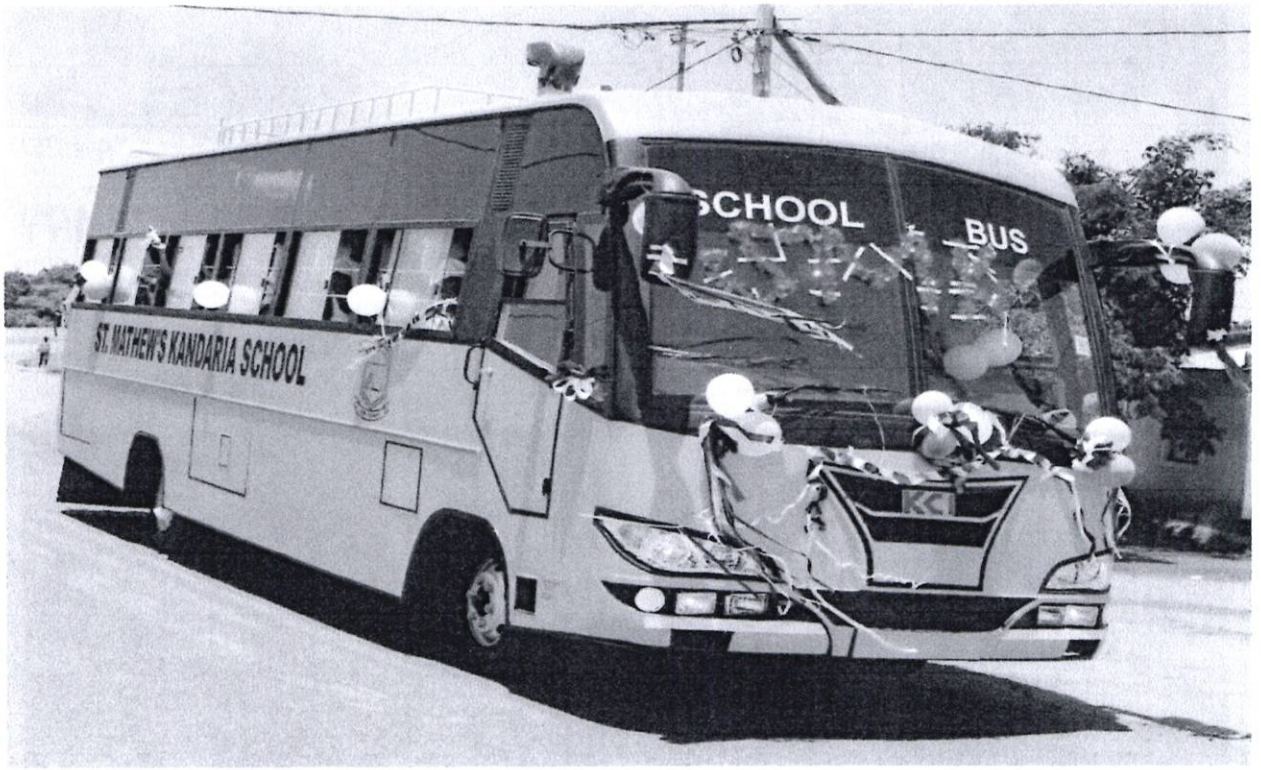


Figure 8: Member of Parliament and other key stakeholders during a test drive.

Figure 9: Rear View of St Mathews Kandaria School Bus.

Implementation challenges included the following:

- Due to challenges posed by the COVID-19 the flow of funds was severely staggered and this led to slow implementation of projects. The slow pace of disbursement impacted negatively on many projects meaning they could not be accomplished within the stipulated time in the workplans. Some of the projects therefore need variations as inflation has also negatively impacted on the project costs.
- Rarieda NG-CDFC has continued to receive very many requests. It is notable that the implementation of the CBC has created an increased demand for classrooms in almost every school, even as we renovate the dilapidated ones.
- Additionally there is increased demand for fencing and gate installation in most of the Schools both in Primary and Secondary Section. This is due to the fact of domestic animals (goats, sheep and cattle) and humans interfering with the agricultural activities of the pupils in the scchool compounds.
- We have encountered challenges in the application of the Public Procurement and Asset Disposal Act (PPADA) in relation to the Affirmative Action. Mostly the Women, Youth and the Disabled persons lack the requisite capitation for the uptake of tenders floated by the Project Management Committees (PMC's). This calls for new approaches to meet the demands of this vital government policy. Cases of PMC's flouting the PPADA were encountered. In many instances this occurred due to the de-localization of the School Heads whom at times will not have experienced any Project Management skill from their Constituency that they have been delocalised from. This underlines the fact there are different approaches to fund administration in different constituencies

Mitigation factors put in place include the following:

- Some of the projects therefore need variations as inflation has also negatively impacted on the project costs. This will be put into consideration during the 2022/2023 Financial year project proposal submission

- We therefore anticipate factoring this vital aspect in the 2022/2023 Financial year Workplan taking into consideration schools which have high enrolment and needs additional structures in place.
- The NG-CDFC anticipates to fence atleast 10 Primary schools each financial year for the next four years to ensure total swcurity check being at 95% at the end of year 2026.
- It is important to undertake capacity building for the school heads as a priority in all the Financial years. Additionally, there is need to shift from over-reliance on the Public Works Officers especially in the drawing of the Bills of Quantities (BoQs) and project supervision. This function should be factored within the NG-CDFCs staffing norms where a person should be engaged with similar qualifications and also the board to give authority of such functions to be excecuted by the NG-CDFC. It will save the fund money and time as well as streamline these functions.

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NAME: DR PAUL SAOKE
CHAIRMAN NGCDFCOMMITTEE

III. Statement Of Performance Against Predetermined Objectives for FY2021/22

Introduction

Section 81 (2) (f) of the Public Finance Management Act, 2012 requires that, at the end of each financial year, the Accounting officer when preparing financial statements of each National Governmententity in accordance with the standards and formats prescribed by the Public Sector Accounting Standards Board includes a statement of the national government entity's performance against predetermined objectives.

The key development objectives of ***Rarieda Constituency*** *2018-2022* plan are to:

a) To improve the infrastructure in all our learning institutions and increase rate of retention of pupils and students in schools.
b) To increase accessibility to security services.
c) To enhance, empower and develop youth and special groups' talent in sports in the constituency.
d) To promote maintenance and conservation of clean environment.
e) To improve monitoring and evaluation of NGCDF projects.

Progress on attainment of Strategic development objectives
For purposes of implementing and cascading the above development objectives to specific sectors, all the development objectives were made specific, measurable, achievable, realistic and time-bound (SMART) and converted into development outcomes. Attendant indicators were identified for reasons of tracking progress and performance measurement: Below we provide the progress on attaining the stated objectives:

Constituency Sector	Objective	Outcome	Indicator	Performance
Education	To have all children of school going age attending school	Increased enrolment in primary schools and improved transition to secondary schools and tertiary institutions	- number of usable physical infrastructure built in primary, secondary, and tertiary institutions - number of bursary's	In FY 21/22 - we constructed eleven (11) classrooms, two (2) dormitories, one(1)laboratories, three(3)administration blocks, nine (9)toilets, libraries. In addition, we fenced and installed gates in 15 primary schools. - There was increase in bursary beneficiaries at all levels as per the attached schedules. A

			beneficiaries at all levels	total of 6,623 students were awarded bursary being 3,056 female and 3567 male applicants
Security	To increase accessibility to security services	Develop and enhance provincial administration and other security infrastructure to enhance service delivery	Number of usable physical infrastructure built in locations, sub locations and police stations.	In this FY, we have constructed one Police Station, Fenced the compound of a chiefs office, three supplied and installed Three10,000 litres water tanks in 3 chiefs offices, renovated 0ne chiefs office and completed 4 chiefs offices.
Environment	To promote maintenance and conservation of clean environment	Equip schools and public facilities with sanitation facilities Provide tree seedlings to schools to improve the forest cover	Number of sanitation facilities built in primary ,secondary and tertiary institutions	In addition to purchasing and installing 10,000 litres water tanks in schools and chiefs offices, the NG-CDFC supplied 105; Fifty five2000 litres wash hand tanks to primary and Fifty to secondary schools in order to facilitate sanitation in the institutions.
Sports	To enhance, empower and develop youth and special groups talent in sports in the constituency	Reduced dependence and spur economic growth through sports	Number of youths benefiting from sports programme	Number of youths benefitting from sports increased from 495 to1376 where the constituency Facilitated hosting of constituency sports tournament by purchasing of balls, uniforms, boots and trophies for teams participating in the tournament and awards given to the winning teams.

IV. Environmental and Sustainability Reporting

RariedaCDF exists to transform lives. This is our purpose; the driving force behind everything we do. It is what guides us to deliver our strategy, which is founded on social sector, namely, Education & Training, Security Sector Support, Environment, and Sports. This pillar also makes special provisions for Kenyans with various disabilities and previously marginalized communities.

1. Sustainability strategy and profile -

To ensure sustainability of Rarieda NG CDF, the committee funds the following key sectors with the following sustainable priorities.

a. **Education and Training**: Rarieda NG-CDF focus on human capital for constituency development is entrenched in its strategy to support needy and bright students from each ward of the Constituency. The intention is to empower the constituents such that in years to come, the beneficiaries at secondary school levels would have transitioned to Tertiary institutions while those at tertiary level would have transitioned to the job market as employees or employers thereby contributing positively to the economic growth of the constituency. This strategy takes care of both marginalised groups including girls and people living with disabilities.

Figure 10: Rarieda Constituency Member of Parliament, Fund Account Manager and NG-CDFC issuing Bursary during the FY 2021/2022.

b. **Security Sector Support:** Among its key pillars; NGCDF has security as a priority area with intention to provide better working environment for the security providers within the constituency as well a secure constituency. The strategy is to have a long-term collaborative working approach that enhances community engagement in security activities. This is aimed at eliminating crime and vices in the long run by providing a better working environment for the law enforcement agencies while collaborating with community in trust on matters of security.

   Rarieda NG-CDFC has during the financial year constructed and renovated Chiefs Offices and Police Post with also providing water harvesting and storage tanks to assist Officers living in the residences. The Committee is planning to increase allocations on security projects in the Financial year 2022/2023.

Figure 11:Rarieda NG-CDFC Chairman and Key Stakeholders during a security meeting at Owimbi Chiefs Office.

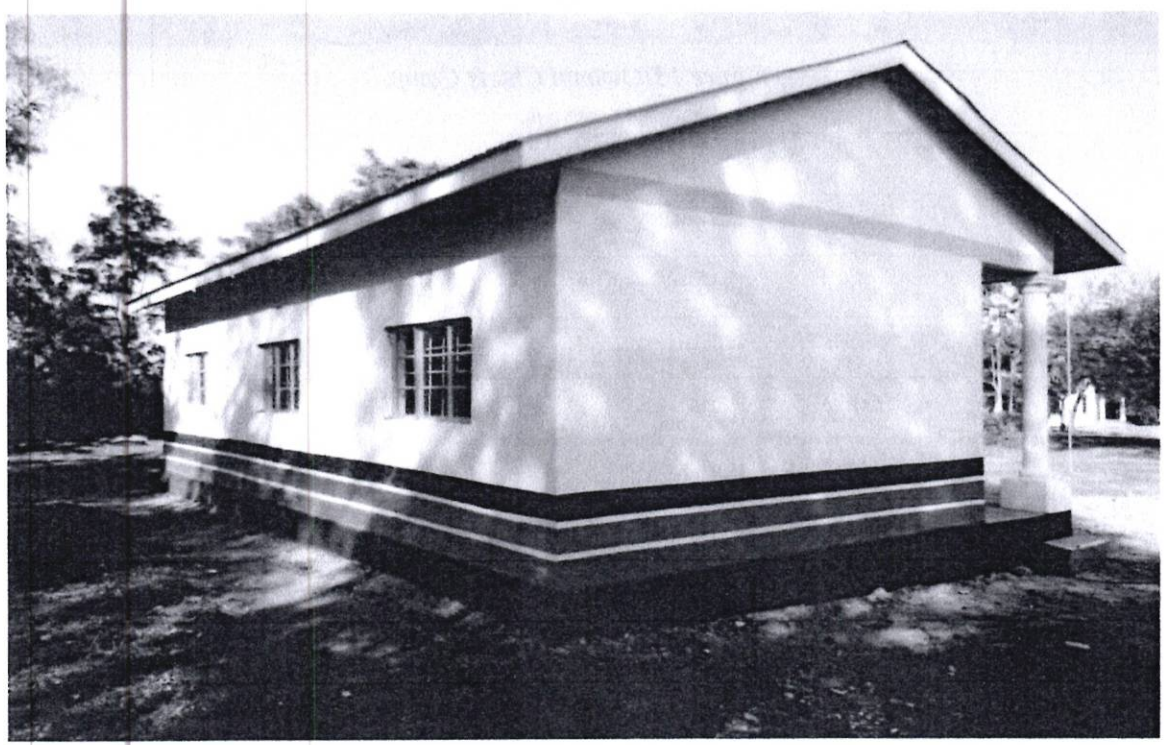

Figure 12: Renovation of 3 roomed chief's office to completion: Replacement of old roof, repair of wall, windows and doors.

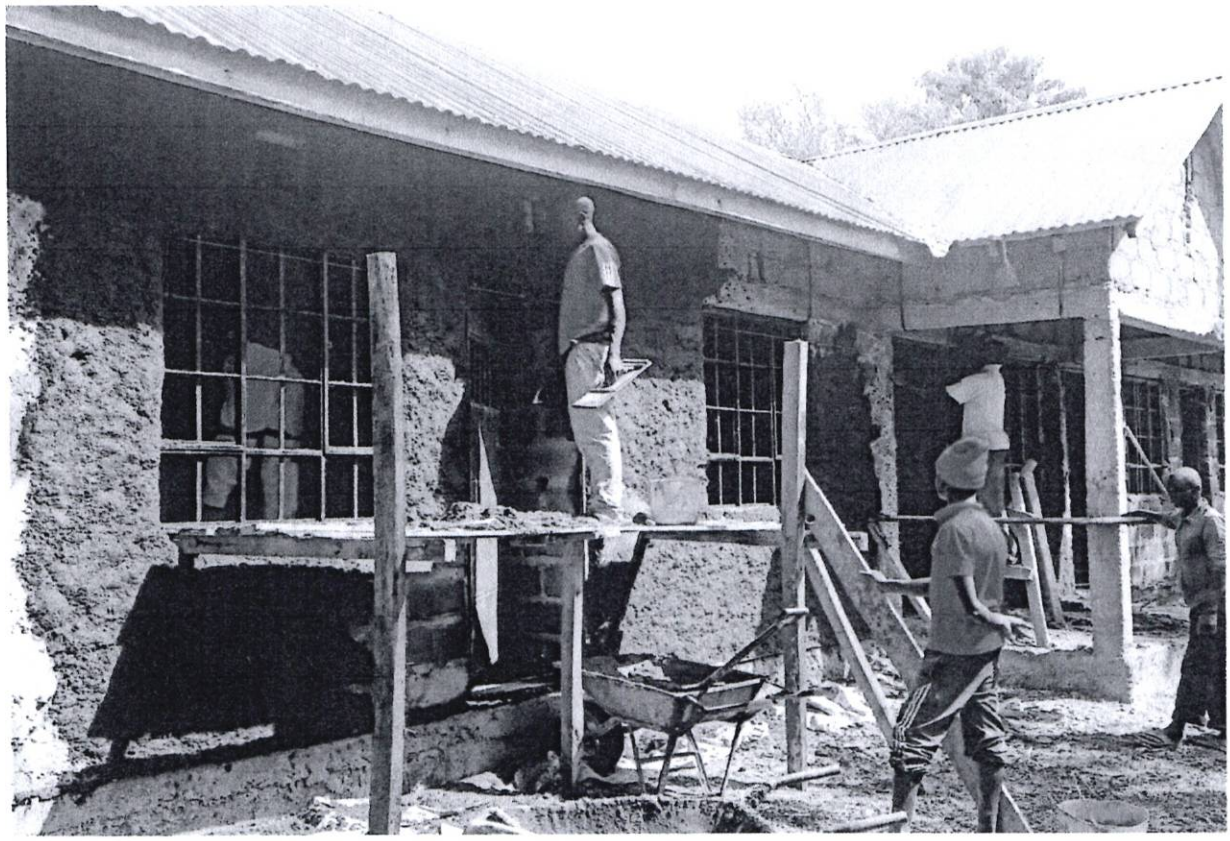

Figure 13:Owimbi Chiefs Camp.

Figure 14: Owimbi Chiefs Camp.

c. **Environment:** The Constituency acknowledges that all its operation has an impact on environment. Cognizant of the Sustainable development goals, the NG-CDF has allocated part of its budget on environment conservation through activities such as tree planting, water conservation, sensitization forums for agro-forestry as well as best practices to reduce soil erosion.

In the past yearsRarieda Constituency has been keen to spend its environmental allocation on purchase and distribution of water tanks to schools for sanitation and covid – 19 mitigations. There has also been a problem of Pit latrines sinking due to climate cjange and black cotton soil which is loose hence poorly done structures don't withstand the situation.

The committee is contemplating to adjust the allocation of this sector to the maximum 2.5% so as to cater for construction of Pit latrines and toilets to curb the menace.

Tree planting in Public institutions also will be allocated funds under this sector as the committee had done the same in the Sub County headquarters in this concluded financial year.

Figure 15: Rarieda Constituency Member of Parliament during a tree planting session at Rarieda Science Teacher's Training College.

Figure 16: Planting of trees at Rarieda NG-CDF Offices.

Figure 17: Planting of trees at Rarieda NG-CDF Offices.

Figure 18: Former Sub County Education Officer overseeing the planting of trees at the education offices.

Figure 19: Fund Account Manager, Head teacher, Area Member of Parliament and the Deputy County Commissioner during issuing of tanks at Rarieda NG-CDF Offices.(Left –Right)

Figure 20: Fund Account Manager, Area Member of Parliament, Head teacher and the Deputy County Commissioner during issuing of tanks at Rarieda NG-CDF Offices.(Left –Right)

Figure 21: Issuingof 10000 litres water tank to Madiany Police Post.

Figure 22: Issuing of wash hand tanks at Rarieda NG-CDFC Offices.

d. **Sports:** The NG-CDF has taken sports as a key pillar of cohesion and integration. To sustain this pillar, the strategy taken is that of developing skills through sports with intention of identifying, nurturing talent and encouraging physical fitness among the constituents.

   The Constituency organised sports tournaments from sub location level to finals which were done successfully with the winning teams being awarded uniforms, trophies, balls and other sports kits.

Several challenges however could not miss during the whole program which included among others teams wanting to be recognised by uniforms and kits even from locational level hence budgetary allocation could not be enough. There was also the element of match officials allowances and sports coordinators whom wanted to be paid professional fees(KFF rates). Mostly again winning teams felt like they could be given cash awards as it was being done by County Government and other self-sponsored matches by Politicians hence this brought bit of challenge.
The board to look into increased allocation in the Sports sector to enhance perfection in an organised setting and to increase games which we intend to bring bicycle and boat riding.

Figure 23: Rarieda Constituency Member of Parliament having a photo session with various teams during the sports tournament FY 2021/2022

Figure 24: Females Football Team during Rarieda Constituency sports tournament for the FY 2021/2022.

Figure 25: Volley Ball Match DuringRarieda NG-CDF Sports Tournament.

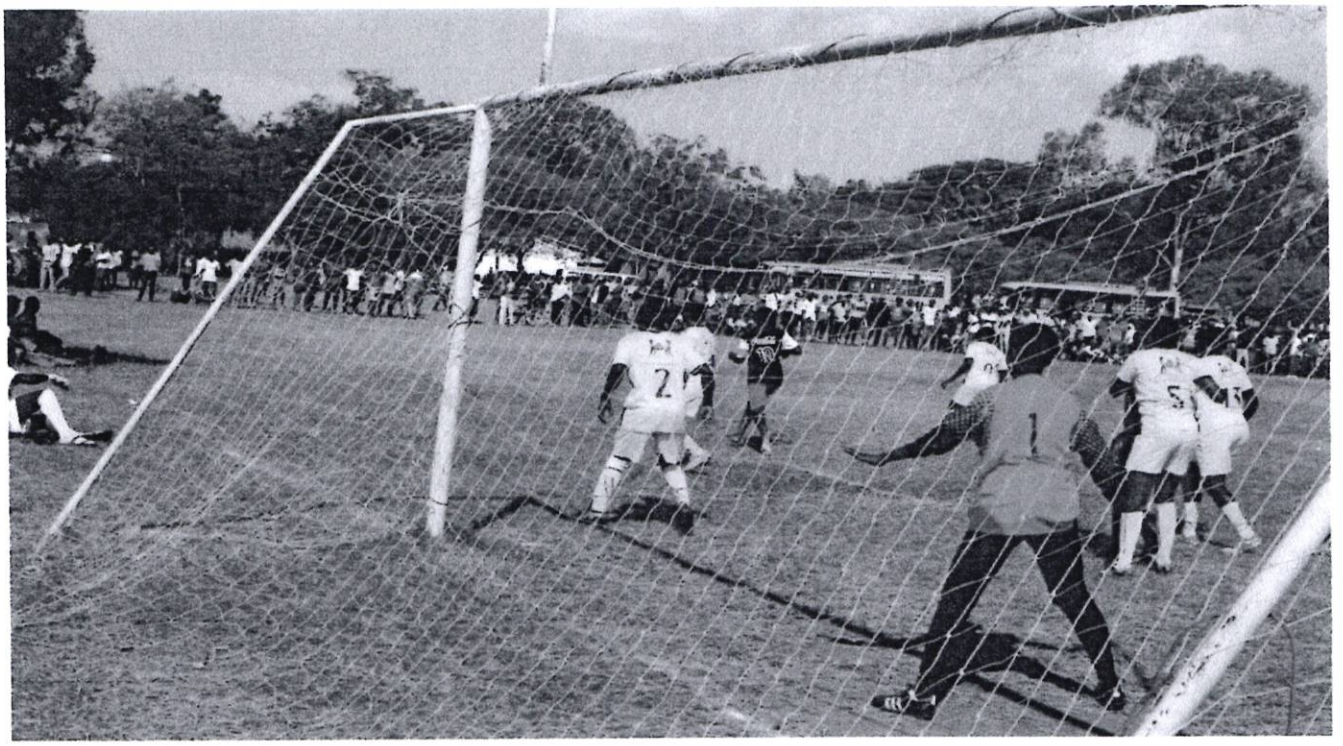

Figure 26: Foot Ball Match duringRarieda NG-CDF Sports Tournament.

Figure 27: Players Preparing for a Match.

Figure 28:Women Football Team Preparing to Play.

Figure 29: Men Football Team having a Photo Session.

Figure 30: The Fund Account Manager (In the Hat) with Guests&Spectators during the Rarieda Constituency Sports Tournament.

To attain this level of sustainability, we acknowledge challenges currently arising from the effects of Covid-19 that have adversely affected the sporting activities and thereby limiting the potential benefits envisaged in using sports as development strategy within the constituency. On macro levels FY 21/22 has been a challenging year with limited funding towards these activities which may hamper the success of priority strategies undertaken.

2. Environmental performance

- *Report on the frequency of how often NG-CDF supported students carry out environmental conservation activities e.g. planting trees once in an academic calendar*
- *Sensitization of youth/ community on the impact of drugs after by construction of police stations supported NG-CDF.*
- *NG-CDF sponsored sporting activities/ tournament bringing communities and sensitizing them on environmental conservation matters.*

- *NG-CDF staff Have at least one day in FY to sensitize the local communities on proper farming methods that lead to soil conservation as well as crop and animal husbandry of NGCDF supported projects.*

Rarieda NG-Cdf in promoting sanitation in the constituency purchase and distributed 10,000 litres water tanks in the constituency in various primary schools, secondary schools and security institutions.

Figure 31: Issuing of Wash Hand Tanks at Rarieda NG-CDFC Offices.

Figure 32: The Fund Account Manager addressing the members of public during issuing of bursaries.

Employee welfare

We invest in providing the best working environment for our employees. Rarieda constituency recruitment is guided by Employment Act, NGCDF Act and other regulations as issued from time to time. In line with the law and regulations, the Constituency offers equal opportunity to all while adhering to the one third gender rule and special groups. We also Recognize and appreciate of our employees for exemplary performance. The reward and sanctions system is based on performance appraisal.

During the Financial year, three four employees were able to go for training at the Kenya School of Government – Kabete campus where they undertook several courses in relation to customer care and Secretarial studies and also Supervisory Management skills which has impacted on their day to day operations in the Constituency.

The constituency promotes a healthy lifestyle and provides all employees with health insurance cover through a reliable insurance Scheme. Employees are encouraged and supported to continually build on their skills and knowledge. RariedaConstituency invests in capacity building programs for employees. These include courses on technical competencies relevant to each employee and continuous sensitization on cross cutting issues.

This extends to sponsoring staff to go for short courses offered for Kenya School of Government in any of its Campuses.

The committee has a policy on safety in compliance with Occupational Safety and Health Act of 2007, (OSHA) and has ensured the work environment is conducive for everybody in terms ofmovement and accessibility within the office. The Constituency has also put in place disaster mitigating measures including fire extinguishers and accessible escape routes in case of emergency.

Figure 33: NG-CDFC Staff at Kenya School of Government-Kabete Campus.

Figure 34: Empowerment of Staff through training.

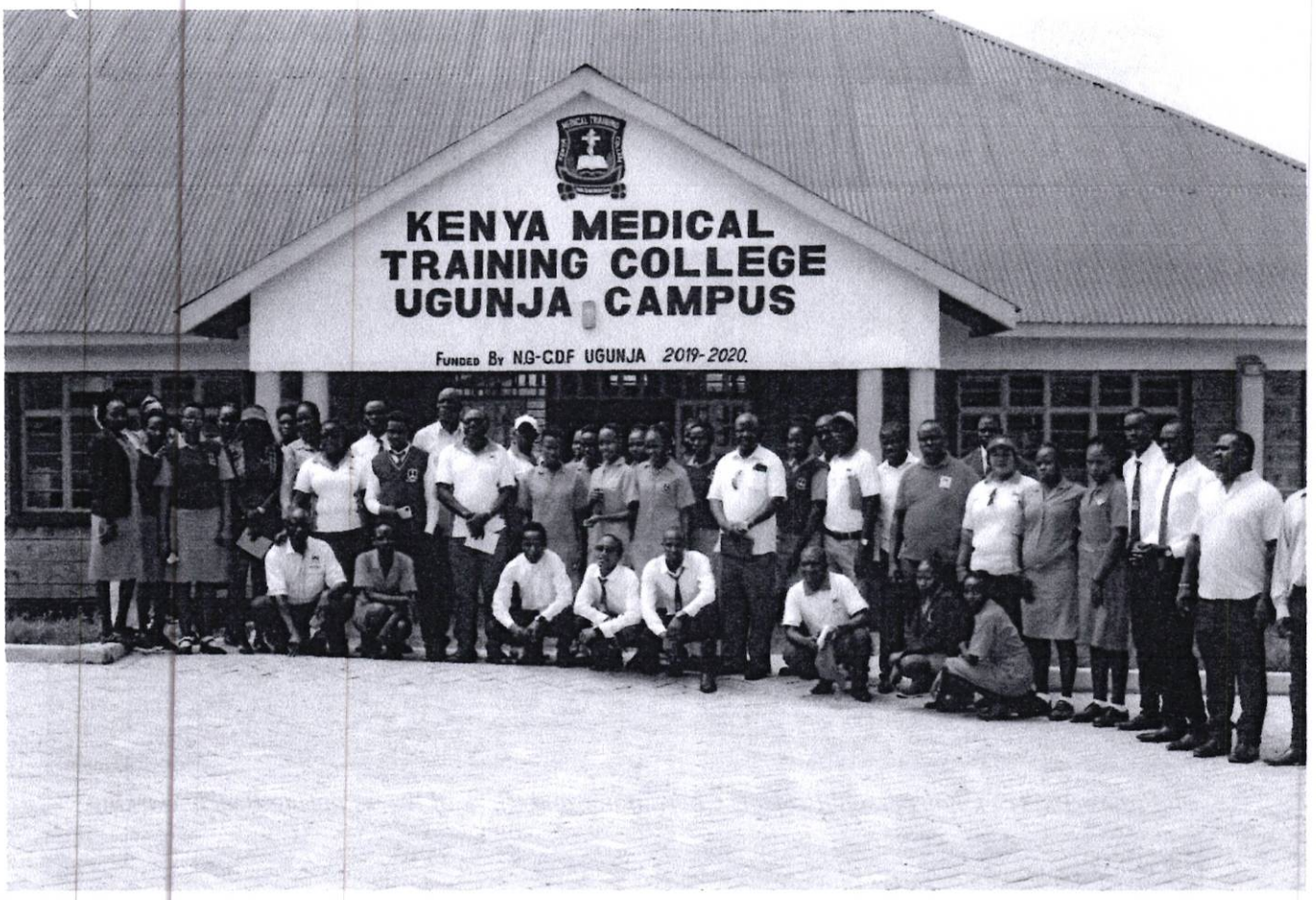

Figure 35: NG-CDFC Staff were in involved during the Benchmarking.

Figure 36: The Chairperson, Projects Coordinator and Clerk of Works during Bench Marking.

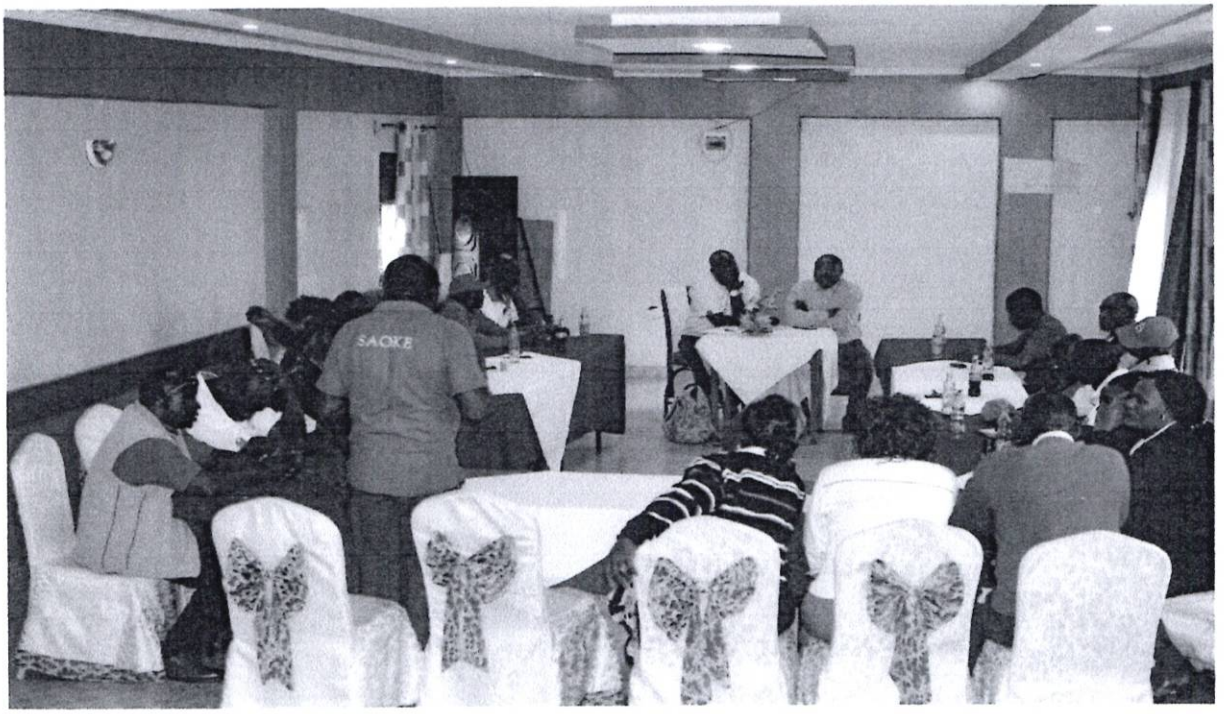

Figure 37: Exit Meeting in Ikolomani Constituency where some NG-CDFC some were present.

3. **Market place practices-**

Rarieda NGCDF Constituency is committed to fair and ethical market practises.

The Procurement of goods and services is done through a transparent and competitive bidding process that allows equal opportunities to all participants. We support local vendors drawn from the constituency for purposes of uplifting them economically. Our ethical market practises ensure the fund get value for money on all goods and services procured.

We are also committed to healthy relations with our suppliers which is enhanced through organized sensitization forums that relate to the procurement legal framework and ethical subject matters. We are dedicated to honouring all contracts and settling payments promptly.

NGCDF has put in efforts to ensure:

a) Responsible competition practice by encouraging fair competition and zero tolerance to corruption
b) Good business practice including cordial Supply chain and supplier relationsby honouring contracts and respecting payment practices.
c) Responsible marketing and advertisement
d) Product stewardship by safeguarding consumer rights and interest

4. **Community Engagements-**

Rarieda NGCDF has endeavoured to sustain community engagement through CSR as well as appreciating our existence through engaging local contractors and suppliers when necessary. We have also engaged the community through sports and community projects.

Public Participation in Project Identification and Implementation and Monitoring

The NG-CDFC deliberated on project proposals from all the wards in the constituency and considered the most beneficial to the constituency, considering the national development plans and policies and the constituency strategic development plan.The identified list of priority projects, both immediate and long term, was submittedto the NG CDF Board in accordance with the Act.

Public participation is the process that directly engages the concerned stakeholders in decision-making and gives full consideration to public input in making that decision.

The NG CDFC during bursary programme, engaged the community through the community leaders to identify the needy students to be awarded with the bursary.

Public Awareness

This includes mechanisms for participation and cooperation with local, regional and national agencies, and for conducting community-based needs assessments and public awareness campaigns and holding community meetings.

RariedaNG-CDF have continually practiced public participation and public awareness during project identification and proposal collections in all the wards in the constituency.

.....

KENNEDY CHACHA

FAM

V. Statement of Management Responsibilities

Section 81 (1) of the Public Finance Management Act, 2012 requires that, at the end of each financial year, the accounting officer for a National Government Entity shall prepare financial statements in respect of that entity. Section 81 (3) requires the financial statements so prepared to be in a form that complies with relevant accounting standards as prescribed the Public Sector Accounting Standards Board of Kenya from time to time.

The Accounting Officer in charge of the NGCDF- Rarieda Constituencyis responsible for the preparation and presentation of the entity's financial statements, which give a true and fair view of the state of affairs of the entity for and as at the end of the financial year (period) ended on June 30, 2022. This responsibility includes: (i) maintaining adequate financial management arrangements and ensuring that these continue to be effective throughout the reporting period; (ii) maintaining proper accounting records, which disclose with reasonable accuracy at any time the financial position of the entity; (iii) designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of the financial statements, and ensuring that they are free from material misstatements, whether due to error or fraud; (iv) safeguarding the assets of the entity; (v) selecting and applying appropriate accounting policies; and (vi) making accounting estimates that are reasonable in the circumstances.

The Accounting Officer in charge of the NGCDF-RariedaConstituency accepts responsibility for the entity's financial statements, which have been prepared on the Cash Basis Method of Financial Reporting, using appropriate accounting policies in accordance with International Public Sector Accounting Standards (IPSAS). The Accounting Officer is of the opinion that the *constituency's* financial statements give a true and fair view of the state of entity's transactions during the financial year ended June 30, 2022, and of the entity's financial position as at that date. The Accounting Officer charge of the NGCDF-RariedaConstituencyfurther confirms the completeness of the accounting records maintained for the *constituency,* which have been relied upon in the preparation of the entity's financial statements as well as the adequacy of the systems of internal financial control.

The Accounting Officer in charge of the NGCDFRariedaConstituencyconfirms that the *constituency*has complied fully with applicable Government Regulations and the terms of external financing covenants (where applicable), and that the entity's funds received during the year under audit were used for the eligible purposes for which they were intended and were properly accounted for. Further the Accounting Officer confirms that the

constituency's financial statements have been prepared in a form that complies with relevant accounting standards prescribed by the Public Sector Accounting Standards Board of Kenya.

Approval of the financial statements

The NGCDF-Rarieda Constituency financial statements were approved and signed by the Accounting Officer on 20.9. 2022.

.....

Name: Dr. Paul Saoke

Chairman – NGCDF Committee

.....

Name: Kennedy Chacha

Fund Account Manager

REPUBLIC OF KENYA

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OFFICE OF THE AUDITOR-GENERAL

Enhancing Accountability

HEADQUARTERS
Anniversary Towers
Monrovia Street
P.O. Box 30084-00100
NAIROBI

REPORT OF THE AUDITOR-GENERAL ON NATIONAL GOVERNMENT CONSTITUENCIES DEVELOPMENT FUND - RARIEDA CONSTITUENCY FOR THE YEAR ENDED 30 JUNE, 2022

PREAMBLE

I draw your attention to the contents of my report which is in three parts:

A. Report on the Financial Statements that considers whether the financial statements are fairly presented in accordance with the applicable financial reporting framework, accounting standards and the relevant laws and regulations that have a direct effect on the financial statements.

B. Report on Lawfulness and Effectiveness in Use of Public Resources which considers compliance with applicable laws, regulations, policies, gazette notices, circulars, guidelines and manuals and whether public resources are applied in a prudent, efficient, economic, transparent and accountable manner to ensure Government achieves value for money and that such funds are applied for the intended purpose.

C. Report on Effectiveness of Internal Controls, Risk Management and Governance which considers how the entity has instituted checks and balances to guide internal operations. This responds to the effectiveness of the governance structure, the risk management environment and the internal controls, developed and implemented by those charged with governance for orderly, efficient and effective operations of the entity.

An unmodified opinion does not necessarily mean that an entity has complied with all relevant laws and regulations and that its internal controls, risk management and governance systems are properly designed and were working effectively in the financial year under review.

The three parts of the report are aimed at addressing the statutory roles and responsibilities of the Auditor-General as provided by Article 229 of the Constitution, the Public Finance Management Act, 2012 and the Public Audit Act, 2015. The three parts of the report, when read together constitute the report of the Auditor-General.

REPORT ON THE FINANCIAL STATEMENTS

Adverse Opinion

I have audited the accompanying financial statements of National Government Constituencies Development Fund - Rarieda Constituency set out on pages 1 to 51, which

comprise of the statement of assets and liabilities as at 30 June, 2022, the statement of receipts and payments, statement of cash flows and the summary statement of appropriation for the year then ended, and a summary of significant accounting policies and other explanatory information in accordance with the provisions of Article 229 of the Constitution of Kenya and Section 35 of the Public Audit Act, 2015. I have obtained all the information and explanations which, to the best of my knowledge and belief, were necessary for the purpose of the audit.

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of the National Government Constituencies Development Fund - Rarieda Constituency as at 30 June, 2022 and of its financial performance and its cash flows for the year then ended, in accordance with International Public Sector Accounting Standards (Cash Basis) and do not comply with the National Government Constituencies Development Fund Act, 2015 and the Public Finance Management Act, 2012.

Basis for Adverse Opinion

1. Inaccuracies in the Financial Statements

The statement of receipts and payments reflects payments amounting to Kshs.99,223,297 and Kshs.3,358,015 in respect of transfers to other Government units and acquisition of assets respectively. However, Note 6 and Note 8 to the financial statements reflect expenditures of Kshs.99,523,297 and Kshs.36,141,370 respectively in respect of the two expenditure components resulting in unexplained variances of Kshs.300,000 and Kshs.32,783,355 respectively.

In the circumstances, the accuracy and completeness of the financial statements could not be confirmed.

2. Unsupported Training Expenses

The statement of receipts and payments reflects an amount of Kshs.20,158,538 in respect of use of goods and services, as disclosed in Note 5 to the financial statements. The amount includes an expenditure of Kshs.1,991,855 incurred on training of the Fund's employees on different occasions during the year. However, Management did not provide any evidence of a training needs assessment or a training plan to support the expenditure.

In the circumstances, the accuracy and completeness of the training expenses totalling Kshs.1,991,855 could not be confirmed.

3. Inaccuracies in Compensation of Employees

The statement of receipts and payments reflects Kshs.3,487,113 in respect of compensation of employees as further disclosed in Note 4 to the financial statements. However, the expenditure differed with the total amount of Kshs.3,640,239 reflected in the payment vouchers resulting in an unexplained variance of Kshs.153,126. Further, review of the year's payroll records revealed basic salaries total of Kshs.2,702,000 which

differed with the amount of Kshs.3,465,513 reflected in Note 4 to the financial statements resulting in an unexplained and unreconciled variance of Kshs.763,513.

In addition, the payroll vouchers for the twelve (12) months reflected basic salaries total expenditure of Kshs.2,922,775 which differed with the payroll total amount of Kshs.2,702,000 thus resulting to an unexplained variance of Kshs.220,775.

In the circumstances, the accuracy and completeness of compensation of employees amount of Kshs.3,487,113 could not be confirmed.

4. Inaccuracies in Cash and Cash Equivalents

The statement of assets and liabilities reflects cash and cash equivalents balance of Kshs.8,478,339 as disclosed in Note 10A to the financial statements. However, the cashbook revealed an opening cash on hand balance of Kshs.543,138. However, the amount was not reflected in the prior year's financial statements. Further, the prior year balances have not been restated in the year under review to correct the error. Further, Management did not provide the reasons for the reversal of Kshs.3,500,000 reflected in the cashbook relating to a cheque made in favor of Kisumu Polytechnic during 2020/2021 financial year. Similarly, a cheque of Kshs.700,000 paid to Osewre Primary School paid on 24 August, 2021 was reversed on 25 November, 2021. However, the amount was not reflected as a reconciling item in the month of September and October, 2021, casting doubts on whether the payment was made back to the school.

In addition, review of the bank reconciliation statement for the month of June, 2022 revealed receipts in bank statement not in the cashbook amounting to Kshs.1,300,000. However, the amount had been received in the cashbook and from which Kshs.400,000 and Kshs.900,000 cheques were made out to St. Lazarus Primary School and Gagra Secondary School respectively. The bank reconciliation statement also reflected two cheques of Kshs.179,057 which had been outstanding for more than 8 months and were therefore stale.

In the circumstances, the accuracy and completeness of cash and cash equivalents balance of Kshs.8,478,339 could not be confirmed.

5. Unsupported Procurements

The contract for construction works at the Kenya Medical Training College Masala Campus was awarded to a local contractor at a contract price of Kshs.400,000. However, the procurement documents for the project were not provided for audit.

Similarly, the contract for the grading works of the 900m road from Akado junction to Rarieda Science Teachers Training College was awarded to a local contractor who was paid an amount of Kshs.100,000. However, the contract price, contract terms and procurement process could not be confirmed as procurement documents were not provided for audit. Further, no explanations were provided on why the Constituency Committee procured and paid for works yet both the Kenya Medical Training College and Rarieda Teachers Training College had established Project Management Committees and bank accounts for the projects.

In the circumstances, the accuracy and propriety of the expenditure totalling Kshs.500,000 incurred on procurements could not be confirmed.

The audit was conducted in accordance with International Standards of Supreme Audit Institutions (ISSAIs). I am independent of the National Government Constituencies Development Fund - Rarieda Constituency Management in accordance with ISSAI 130 on Code of Ethics. I have fulfilled other ethical responsibilities in accordance with the ISSAI and in accordance with other ethical requirements applicable to performing audits of financial statements in Kenya. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my adverse opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, are of most significance in the audit of the financial statements. There were no key audit matters report in the year under review.

Other Matter

1. Budgetary Control and Performance

Review of the approved budget for National Government Constituencies Development Fund - Rarieda Constituency revealed that there were some over-allocations of budgeted expenditure contrary to the budgetary ceilings set in Section 25 of the National Government Constituencies Development Fund Act (2015) as detailed in the table below;

Expenditure Item	Allocation Percentage	Required Budgetary Allocation (A) Kshs.	Final Budget (B) Kshs.	Over-Allocation (B-A) Kshs.
Admin, Recurrent Vehicle Maintenance	6%	11,874,214	12,262,681	388,467
Monitoring and Evaluation	3%	5,937,107	9,122,109	3,185,002
Emergency	5%	9,895,178	11,380,200	1,485,022

Further, the summary statement of appropriation reflects a budget over-expenditure on use of goods and services of Kshs.2,483,747 or 114% of the approved budget. The over expenditure has not been explained in the financial statement as required and no approval for the over expenditure was provided for audit review.

In the circumstances, the over-allocation over-expenditure may have affected other expenditure components and impacted negatively on service delivery to the public.

2. Unresolved Prior Year Matters

In the audit report of the previous year, several issues were raised under the Report on Financial Statements, Report on Lawfulness and Effectiveness in Use of Public

Resources, and Report on Effectiveness of Internal Controls, Risk Management and Governance. However, the Management has not resolved the issues or given any explanation for failure to adhere to the provisions of the Public Sector Accounting Standards Board templates.

REPORT ON LAWFULNESS AND EFFECTIVENESS IN USE OF PUBLIC RESOURCES

Conclusion

As required by Article 229(6) of the Constitution, because of the significance of the matters discussed in the Basis for Adverse Opinion and Basis for Conclusion on Lawfulness and Effectiveness in Use of Public Resources sections of my report, based on the audit procedures performed, I confirm that, public resources have not been applied lawfully and in an effective way.

Basis for Conclusion

1. Irregular Use of Restricted Tendering Process

Review of tender documents revealed that Management awarded a tender for the proposed fencing works, installation of gates and construction of two sentry boxes at Rarieda Science Teachers Training College to a local contractor at a contract price of Kshs.8,162,799. However, the following anomalies were noted:

i. The Chairperson and other Committee Members of the Constituency Committee were appointed to the Tender Opening Committee. This was against their oversight role, including on the procurement processes.

ii. The procurement plan for the year under review did not indicate the procurement method to be used for planned procurement or the budgeted amount for the activity.

iii. Management used restricted tendering for the procurement. However, no justification was provided for use of the method. Further, only five bidders from the list of pre-qualified suppliers were invited contrary to Regulation 89(5) of the Public Procurement and Asset Disposal Regulations, 2020 which requires at least ten suppliers to be invited.

iv. There was no indication of how past work experience requirement for bidders was to be measured without stating the number of years worked, the National Construction Authority registration categories and experience of key personnel in the tender documents. Therefore, the assessment criteria, did not comply with the provisions of Regulation 89(5) of the Public Procurement and Asset Disposal Regulations, 2020.

v. Standard procurement documents were not used in the bidding process as required by Section 58 of the Public Procurement and Asset Disposal Act, 2015.

vi. The notification of award for the contract was issued on 1 December, 2021 and contract signed on 13 December, 2021. However, the acceptance of award was received on 15 December, 2021 hence the contract was entered into retrospectively.

Additionally, the contract lacked key provisions such as; special conditions, defects liability period and performance security.

vii. The professional opinion to the Accounting Officer after evaluation process was not provided for audit review.

viii. An audit inspection carried out at the site in March, 2023, revealed that the project had stalled and had passed the stated implementation period of 90 days which lapsed on 12 March, 2022. Several works including supply and fixing of chain-link, construction of one sentry box and wall finishes of the sentry boxes had not been executed and there was no evidence that a contract extension had been requested by the and approved by the Fund.

In the circumstances, value for money incurred on the project could not be confirmed.

2. Incomplete Resettlement of Displaced Persons

The Constituency Committee approved the construction of the proposed Rarieda Science Teachers College in the financial year 2019/2020. The construction was projected to displace forty-four (44) persons occupying 5.91 hectares of land valued at Kshs.4,360,000. The process of compensating the displaced persons was initiated by the Committee. However, although there was a resettlement action plan in place, the valid title deeds for the land were not provided for audit. Further, all the affected persons were yet to receive grants of administration of the estates. Management did not explain why the compensation was not handled by Project Management Committee contrary to Regulation 15(5) of National Government Constituency Development Fund Regulations, 2016.

In the circumstances, Management was in breach of the law.

3. Stalled Construction of Kenya Medical Training College Rarieda Campus

Review of records revealed that the Project Management Committee of the Kenya Medical Training College (KMTC) Rarieda Campus awarded tenders to several contractors at an estimated cumulative cost of Kshs.189,600,000 for the construction of the Campus. The construction of the campus started on 7 August, 2015. However, the contractor awarded to construct an administration block at the Campus, requested for a price variation of the works on 22 November, 2021, from the original contract price of Kshs.7,678,534 to Kshs.12,227,968 or 59%. However, approvals, contract variation evaluation documents and the contract addendum were not provided for audit.

Further, review of the project files revealed that as at 8 March, 2022, the contractor had received payments amounting to Kshs.9,062,918. However, whereas environmental and social impact assessments were conducted, there was no evidence to show that the report was certified by the National Environmental Management Authority (NEMA). Subsequently, approval from relevant institutions to set up the Campus were not provided for audit.

In addition, a Management report dated 8 March, 2022 indicated the project had been funded to a tune of Kshs.54,662,552. However, the statement of account for the project were not provided for audit. Audit inspection physical verification in March, 2023 revealed that the project had stalled, the hostel and administration block exhibited signs of poor workmanship that rendered the facility unfit for occupation. Eight (8) years had lapsed since the construction works started yet the facility remains incomplete and unutilized.

In the circumstances, the value for money on the expenditure of Kshs.37,356,863 incurred on construction of the Campus could not be confirmed.

4. Low Budgetary Allocation for Projects

Review of records revealed that the contract for construction of a multipurpose hall at Ruma Primary School for Kshs.3,706,730 was entered into on 11 November, 2022 with a completion duration of three (3) Months. However, the approved budgetary allocation for the project during the year under review was only Kshs.1,000,000. Site inspection at the time of audit revealed that the contractor had performed substructure works up to slab level constituting 30% of project completion and had been paid a first installment of Kshs.998,000. The project has since stalled awaiting the next allocation in the subsequent year's budget.

Similarly, a contract for construction of an administration block at Ndori Police post comprising of three (3) offices was awarded at a contract price of Kshs.9,148,111 against a budgetary disbursement of Kshs.2,000,000 during the year under review. Review of the procurement process revealed the tenders were opened on 17 November, 2020. However, tender evaluation was conducted through verbal interviews of the bidders and scores awarded based on their verbal responses. The lowest evaluated bidder who attained a highest score of 65% was not awarded the contract which was awarded to the highest bidder with a score of 55%. The basis for the award and suitability of the tenderers could not be confirmed since tender documents and copies of the professional opinion were not provided for audit. Further, although the construction commenced in January, 2021, the project remained 40% complete as at the time of audit.

In the circumstances, the value for money from on funds incurred in the projects could not be confirmed.

5. Unapproved Change of Project Scope

Review of records revealed that the Project Management Committee for Mituri Primary School requested for change of project activity from construction of one (1) classroom to fencing, gate installation and renovation of a classroom and proceeded to implement the same with the disbursed amount of Kshs.900,000. However, no approval from the Board was provided to support the change. Similarly, the Project Management Committee of Okiro Primary School requested for change of project activity on 8 December, 2022 from fencing of the 2-acre school compound and installation of gate to renovation of two (2) classrooms. Disbursement to the school was Kshs.600,000. However, no Board approval was provided to support the change of project activity.

Further, the Project Management Committee of Manywanda Primary School requested for change of project activity on 18 July, 2022 from completion of one (1) classroom plastering, flooring, fitting of windowpanes and painting, to renovation of six (6) classrooms and proceeded to implement the same. Disbursement to the school was Kshs.200,000. However, there was no Board approval provided to support the change of project activity.

In the circumstances, Management was in breach of the law.

6. Non-Remittance of Statutory Deductions

The National Social Security Fund (NSSF) employees and employer contributions for the period between 1 January, 2022 and 30 June, 2022 were not included in the payroll and no evidence of contributions payment to NSSF was provided for audit. Further, review of payment vouchers revealed that the Fund was assessed for income tax by the Kenya Revenue Authority (KRA) and penalised a total of Kshs.14,014 for non-compliance in the month of December, 2021.

In the circumstances, Management was in breach of the law.

7. Non-Deduction Withholding Value Added Tax

Review of payment records revealed that Management paid contractors a total of Kshs.6,289,470 during the year under review, without deducting withholding Value Added Tax (VAT) and retention monies where applicable as per the requirement of Income Tax Act, VAT Act, 2013 and the Public Procurement and Asset Disposal Act, 2015. Further on 27 June, 2022, Management reversed VAT amounting to Kshs.65,490 without explanation or evidence that payments were made to the Kenya Revenue Authority to offset the liability.

In the circumstances, Management was in breach of the law.

8. Non-Remittance of Unutilized Funds

Annex 5 to the financial statements reflects a balance of Kshs.583,801 in respect of the opening balances of Project Management Committees (PMC) bank account balances. Review of the Fund's project implementation report revealed that projects for which the balances related to, were complete and therefore the funds ought to have been returned to the Constituency Development Fund Account as provided for in Section 12(6) of the National Government Constituencies Development Fund Act, 2015.

In the circumstances, Management was in breach of the law.

The audit was conducted in accordance with ISSAI 4000. The standard requires that I comply with ethical requirements and plan and perform the audit to obtain assurance about whether the activities, financial transactions and information reflected in the financial statements are in compliance, in all material respects, with the authorities that govern them. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my conclusion.

REPORT ON EFFECTIVENESS OF INTERNAL CONTROLS, RISK MANAGEMENT AND GOVERNANCE

Conclusion

As required by Section 7(1)(a) of the Public Audit Act, 2015, because of the significance of the matters discussed in the Basis for Adverse Opinion and Basis for Conclusion on Effectiveness of Internal Controls, Risk Management and Governance sections of my report, based on the audit procedures performed, I confirm that, internal controls, risk management and overall governance were not effective.

Basis for Conclusion

1. Lack of a Strategic Plan

During the year the Fund did not have an approved Strategic Plan to guide on preparation of estimates of expenditure, revenue, and operations as per the provisions of the Public Finance Management Act, 2012.

In the circumstances, the Management was not able to effectively formulate medium and long-term strategy for funding and implementation of projects.

2. Lack of Updated Fixed Assets Register

Annex 4 to the financial statements - summary of fixed assets register reflects total assets balance of Kshs.21,889,180 as at 30 June, 2022. However, the balance differs with the total assets value of Kshs.6,546,506 reflected in the fixed asset register provided, resulting to an unexplained variance of Kshs.15,342,647. Further, the asset register did not contain a breakdown of the opening balance of buildings and structures amounting to Kshs.7,971,517 as disclosed under Annex 4 to the financial statements.

In the circumstances, the accuracy and completeness of the summary of the fixed assets register balance of Kshs.21,889,180 could not be confirmed.

The audit was conducted in accordance with ISSAI 2315 and ISSAI 2330. The standards require that I plan and perform the audit to obtain assurance about whether effective processes and systems of internal control, risk management and overall governance were operating effectively, in all material respects. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my conclusion.

Responsibilities of Management and those Charged with Governance

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Public Sector Accounting Standards (Cash Basis) and for maintaining effective internal controls as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error and for its assessment of the effectiveness of internal controls, risk management and overall governance.

In preparing the financial statements, Management is responsible for assessing the Fund's ability to continue to sustain its services, disclosing, as applicable, matters related to sustainability of services and using the applicable basis of accounting unless Management is aware of the intention to terminate the Fund or to cease operations.

Management is also responsible for the submission of the financial statements to the Auditor-General in accordance with the provisions of Section 47 of the Public Audit Act, 2015.

In addition to the responsibility for the preparation and presentation of the financial statements described above, Management is also responsible for ensuring that the activities, financial transactions and information reflected in the financial statements are in compliance with the authorities which govern them, and that public resources are applied in an effective way.

Those charged with governance are responsible for overseeing the Fund's financial reporting process, reviewing the effectiveness of how Management monitors compliance with relevant legislative and regulatory requirements, ensuring that effective processes and systems are in place to address key roles and responsibilities in relation to governance and risk management, and ensuring the adequacy and effectiveness of the control environment.

Auditor-General's Responsibilities for the Audit

The audit objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion in accordance with the provisions of Section 48 of the Public Audit Act, 2015 and submit the audit report in compliance with Article 229(7) of the Constitution. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement and weakness when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

In addition to the audit of the financial statements, a compliance audit is planned and performed to express a conclusion about whether, in all material respects, the activities, financial transactions and information reflected in the financial statements are in compliance with the authorities that govern them and that public resources are applied in an effective way, in accordance with the provisions of Article 229(6) of the Constitution and submit the audit report in compliance with Article 229(7) of the Constitution.

Further, in planning and performing the audit of the financial statements and audit of compliance, I consider internal controls in order to give an assurance on the effectiveness of internal controls, risk management and overall governance processes and systems in accordance with the provisions of Section 7(1)(a) of the Public Audit Act, 2015 and submit the audit report in compliance with Article 229(7) of the Constitution. My consideration of the internal controls would not necessarily disclose all matters in the internal controls that

might be material weaknesses under the ISSAIs. A material weakness is a condition in which the design or operation of one or more of the internal control components does not reduce to a relatively low level the risk that misstatements caused by error or fraud in amounts that would be material in relation to the financial statements being audited may occur and not be detected within a timely period by employees in the normal course of performing their assigned functions.

Because of its inherent limitations, internal controls may not prevent or detect misstatements and instances of non-compliance. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies and procedures may deteriorate.

As part of an audit conducted in accordance with ISSAIs, I exercise professional judgement and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management.

- Conclude on the appropriateness of the Management's use of the applicable basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Fund's ability to continue to sustain its services. If I conclude that a material uncertainty exists, I am required to draw attention in the auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my audit report. However, future events or conditions may cause the Fund to cease to continue to sustain its services.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information and business activities of the Fund to express an opinion on the financial statements.

- Perform such other procedures as I consider necessary in the circumstances.

I communicate with Management regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal controls that are identified during the audit.

I also provide Management with a statement that I have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on my independence and where applicable, related safeguards.

CPA Nancy Gathungu, CBS
AUDITOR-GENERAL

Nairobi

31 July, 2023

VII. Statement Of Receipts and Payments for the Year Ended 30th June 2022

	Note	2021–2022	2020- 2021
		Kshs	Kshs
Receipts			
Transfers From NGCDF Board	1	182,177,758	176,067,725
Proceeds From Sale of Assets	2	-	-
Other Receipts	3	29,000	-
Total Receipts		**182,206,758**	**176,067,725**
Payments			
Compensation Of Employees	4	3,487,113	2,847,329
Use Of Goods and Services	5	20,158,538	23,413,529
Transfers To Other Government Units	6	99,223,297	89,643,377
Other Grants and Transfers	7	63,198,260	44,752,146
Acquisition Of Assets	8	3,358,015	-
Other Payments	9	-	-
Total Payments		**189,425,223**	**160,656,381**
Surplus/(Deficit)		**(7,218,465)**	**15,411,344**

The accounting policies and explanatory notes to these financial statements form an integral part of the financial statements.

The Constituencyfinancial statements were approved on 20.9 2022and signed by:

Fund Account Manager

Name: Kennedy Chacha

National Sub-County Accountant

Name: TeraffinMogaka

ICPAK M/No:

Chairman NG-CDF Committee

Name: Dr. Paul Saoke

II. Statement of Assets and Liabilities AsAt 30th June, 2022

	Note	2021-2022	2020-2021
		Kshs	Kshs
Financial Assets			
Cash And Cash Equivalents			
Bank Balances (As Per the Cash Book)	10A	8,478,339	15,696,804
Cash Balances (Cash at Hand)	10B	-	-
Total Cash and Cash Equivalents		**8,478,339**	**15,696,804**
Accounts Receivable			
Outstanding Imprests	11	-	-
Total Financial Assets		**8,478,339**	**15,696,804**
Financial Liabilities			
Accounts Payable (Deposits)			
Retention	12A	-	-
Gratuity	12B	-	-
Total Financial Liabilities		-	-
Net Financial Assets		**8,478,339**	**15,696,804**
Represented By			
Fund Balance B/Fwd	13	15,696,804	82,459
Prior Year Adjustments	14	-	203,000
Surplus/Deficit for The Year		(7,218,465)	15,411,344
Net Financial Position		**8,478,339**	**15,696,803**

The accounting policies and explanatory notes to these financial statements form an integral part of the financial statements.
The Constituencyfinancial statements were approved on 29.9 2022 and signed by:

Fund Account Manager	**National Sub-County Accountant**	**Chairman NG-CDF Committee**
Name: Kennedy Chacha	**Name:**TeraffinMogaka	**Name:**Dr. Paul Saoke
	ICPAK M/No:	

IX. Statement of Cash Flows for the Year Ended 3oth June 2022

	Notes	2021 - 2022	2020 - 2021
		Kshs	Kshs
Receipts From Operating Activities			
Transfers From NGCDF Board	1	182,177,758	176,067,725
Other Receipts	3	29,000	-
Total Receipts		**182,206,758**	**176,067,725**
Payments			
Compensation Of Employees	4	3,487,113	2,847,329
Use Of Goods and Services	5	20,158,538	23,413,529
Transfers To Other Government Units	6	99,223,297	89,643,377
Other Grants and Transfers	7	63,198,260	44,752,146
Other Payments	9	-	-
Total Payments		**186,067,208**	**160,656,381**
Total Receipts Less Total Payments			
Adjusted For:			
Decrease/(Increase) In Accounts Receivable	15	-	-
Increase/(Decrease) In Accounts Payable	16	-	-
Prior Year Adjustments	14	-	203,000
Net Cash Flow from Operating Activities		**(3,860,450)**	**15,614,344**
Cashflow From Investing Activities			
Proceeds From Sale of Assets	2	-	-
Acquisition Of Assets	8	(3,358,015)	-
Net Cash Flows from Investing Activities		**(3,358,015)**	-
Net Increase In Cash And Cash Equivalent		**(7,218,465)**	**15,614,344**
Cash & Cash Equivalent At Start Of The Year	**10**	**15,696,804**	**82,459**
Cash & Cash Equivalent At End Of The Year	**10**	**8,478,339**	**15,696,803**

The accounting policies and explanatory notes to these financial statements form an integral part of the financial statements.

TheConstituencyfinancial statements were approved on 20.9 2022 and signed by:

Fund Account Manager	**National Sub-County Accountant**	**Chairman NG-CDF Committee**
Name: Kennedy Chacha	**Name:**TeraffinMogaka **ICPAK M/No:**	**Name:**Dr. Paul Saoke

X. Summary Statement of Appropriation forthe Year Ended 30th June 2022

Receipts/Payments	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference	% of Utilization
	a	b		c=a+b	d	e=c-d	f=d/c %
Receipts	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding disbursements	2021/2022	30/06/2022		
	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs	
Transfers From NGCDF Board	137,088,879	15,696,804	45,088,879	197,874,562	197,874,562	(0)	
Proceeds From Sale of Assets				0	-	-	0.0%
Other Receipts		29,000		29,000	29,000	-	100.0%
Totals	**137,088,879**	**15,725,804**	**45,088,879**	**197,903,562**	**197,903,562**	**(0)**	**100.0%**
Payments							
Compensation Of Employees	2,800,000		900,000	3,700,000	3,487,113	212,887	94.2%
Use Of Goods and Services	9,537,999	2,971,530	5,165,262	17,674,791	20,158,538	(2,483,747)	114.1%
Transfers To Other Government Units	77,750,000	400,000	28,925,771	107,075,771	99,223,297	7,852,474	92.7%
Other Grants and Transfers	43,440,339	12,325,274	10,097,846	65,863,459	63,198,260	2,665,199	96.0%
Acquisition Of Assets	3,560,541			3,560,541	3,358,015	202,526	94.3%
Other Payments	-	-	-	-	-	-	-
Funds Pending Approval** (AIA)	0	29000		29,000	-	29,000	0.0%
Totals	**137,088,879**	**15,725,804**	**45,088,879**	**197,903,562**	**189,425,223**	**8,478,339**	**95.7%**

Part of the revenue item is Ksh. 29,000 that was realised from sale of tenders which form part of AIA.

During the year the fund experience underutilization of below 100% but above 90% due to the following reasons;

i. **Compensation of Employees (94.2%)** underutilization was as a result of late disbursement of funds from NG-CDF Board.
ii. **Transfer to other Government Units (92.7%)** underutilization was as a result of late disbursement of funds from NG-CDF Board.
iii. **Other Grants and Transfers (96.0%)** underutilization was as a result of late disbursement of funds from NG-CDF Board.

iv. **Acquisition of Assets (94.3%)** the underutilization was as a result of variation between the approved allocation and the supplier quotation. The supplier quoted an amount lower than the approved budget.

All the changes between the original and final budget were as a result of balances brought forward from the previous financial year 2020/2021, previous years outstanding disbursements received during the year and AIA from sale of tender documents.

Reconciliation of Summary Statement of Appropriation to Statement of Assets and Liabilities	
Description	**Amount**
Budget utilisation difference totals	8,478,339
Less undisbursed funds receivable from the Board as at 30th June 2022	(0)
	8,478,339
Add Accounts payable	0
Less Accounts Receivable	0
Add/Less Prior Year Adjustments	0
Cash and Cash Equivalents at the end of the FY 2021/2022	8,478,339

TheConstituency financial statements were approved on 20.9 2022 and signed by:

Fund Account Manager

Name: Kennedy Chacha

National Sub-County Accountant

Name: TeraffinMogaka
ICPAK M/No:

Chairman NG-CDF Committee

Name: Dr. Paul Saoke

X. Budget Execution by Sectors and Projects forthe Year Ended 30th June 2022

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs
1.0 Administration and Recurrent						
1.1 Compensation of employees	2,800,000.00		900,000	3,700,000	3,487,113	212,887
1.2 Committee allowances	2,400,000.00	1,330,000.00	800,000	4,530,000	4,530,000	-
1.3 Use of goods and services	3,025,332.76	32,086.60	965,262	4,022,681	4,632,000	(609,319)
	8,225,333	**1,362,087**	**2,665,262**	**12,252,681**	**12,649,113**	**(396,432)**
2.0 Monitoring and evaluation						
2.1 Capacity building	1,600,000.00	184,216.00		1,784,216	1,658,645	125,571
2.2 Committee allowances	1,200,000.00	592,000.00	800,000	2,592,000	4,592,000	(2,000,000)
2.3 Use of goods and services	1,312,666.38	833,227.00	2,600,000	4,745,893	4,745,893	0
	4,112,666	**1,609,443**	**3,400,000**	**9,122,109**	**10,996,538**	**(1,874,429)**
3.0 Emergency						
3.1 Primary Schools	7,192,206.90	1,887,993.00	2,300,000	11,380,200	11,065,000	315,200
3.2 Secondary schools						
3.3 Tertiary institutions						
3.4 Security projects						
	7,192,207	**1,887,993**	**2,300,000**	**11,380,200**	**11,065,000**	**315,200**
4.0 Bursary and Social Security						

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
4.1 Primary Schools						
4.2 Secondary Schools	15,096,355	8,784,095.00	3,800,000	27,680,450	27,680,450	(0)
4.3 Tertiary Institutions	6,200,000	1,649,600.00	500,000	8,349,600	8,349,600	-
4.4 Universities						
4.5 Social Security						
4.6 Special Needs	700,000			700,000	40,000	660,000
	21,996,355	**10,433,695**	**4,300,000**	**36,730,050**	**36,070,050**	**660,000**
5.0 Sports						
5.1	2,741,778		619,372	3,361,150	3,361,150	(0)
	2,741,778	-	**619,372**	**3,361,150**	**3,361,150**	**(0)**
6.0 Environment						
Madiany Police Post	130,000			130,000	130,000	-
Makasembo Police Post	130,000			130,000	130,000	-
Aram Police Station	130,000			130,000	130,000	-
Pala Kobong Primary School	130,000			130,000	130,000	-
ChiandaPrimarySchool	130,000			130,000	130,000	-
Ruma Primary school	130,000			130,000	130,000	-
Rarieda Primary School	130,000			130,000	130,000	-
Wangarot Secondary School	130,000			130,000	130,000	-
Mumbo Primary School	130,000			130,000	130,000	-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Wagoro Primary School	130,000			130,000	130,000	-
Buru Primary School	130,000			130,000	130,000	-
Ujwang'a Primary School	130,000			130,000	130,000	-
Wambisa Primary School	130,000			130,000	130,000	-
Rarieda Sub County Headquatrers	200,000			200,000	200,000	-
Ochienga Primary			60,000.00	60,000	60,000	-
Naya Primary			200,000.00	200,000	200,000	-
Wera Primary Special Unit			200,000.00	200,000	200,000	-
Nguka Primary			200,000.00	200,000	200,000	-
Lwak Girls Bording			200,000.00	200,000	200,000	-
Kayundi Primary			60,000.00	60,000	60,000	-
Saradidi Secondary			60,000.00	60,000	60,000	-
Kametho Primary			60,000.00	60,000	60,000	-
Okiro Primary			60,000.00	60,000	60,000	-
Wera Primary			53,900.00	53,900	53,900	-
Tuju Secondary			60,000.00	60,000	60,000	-
Nyabera Secondary			60,000.00	60,000	60,000	-
St Silvester Girls			60,000.00	60,000	60,000	-
Naya Secondary			60,000.00	60,000	60,000	-
				-		-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Total	**1,890,000**	**-**	**1,393,900**	**3,283,900**	**3,283,900**	**-**
7.0 Primary Schools Projects (List all the Projects)						
Ndonyo primary			200,000.00	200,000	200,000	-
Kametho Primary			80,818.00	80,818	80,818	-
Wera Primary			6,100	6,100	6,100	-
Obaga Primary School	1,200,000.00			1,200,000	1,200,000	-
Kasiri Primary School	300,000.00			300,000	300,000	-
Ndhere Primary School	500,000.00			500,000	500,000	-
Wera Primary Scool	200,000.00			200,000	200,000	-
Langu Primary School	200,000.00			200,000	200,000	-
Manywanda Primary School	200,000.00			200,000	200,000	-
Tanga Primary School	200,000.00			200,000	200,000	-
Mirau Primary School	500,000.00			500,000	500,000	-
Kiswaro Primary School	100,000.00			100,000	100,000	-
Kokise Primary School	300,000.00			300,000		300,000
Majango Primary School	600,000.00			600,000	600,000	-
Kadundo Primary School	500,000.00			500,000	500,000	-
Lwak Girls Boarding Primary School	900,000.00			900,000	900,000	-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
St. Phillip's Wera Special Unit	900,000.00			900,000	900,000	-
Luanda Kotieno Primary School	900,000.00			900,000	900,000	-
Ruma Primary school	400,000.00			400,000		400,000
Ruma Primary school	1,000,000.00			1,000,000	1,000,000	-
Bar Kogonga Primary School	600,000.00			600,000	600,000	-
Kaminogedo Primary School	400,000.00			400,000	400,000	-
Konjiko Primary School	600,000.00			600,000	600,000	-
Wagoro Primary School	800,000.00			800,000	800,000	-
Malanga Primary School	800,000.00			800,000	800,000	-
Memba Primary School	400,000.00			400,000	400,000	-
Mirando Primary School	600,000.00			600,000	600,000	-
Mituri Primary School	900,000.00			900,000	900,000	-
Ndonyo Primary School	800,000.00			800,000	800,000	-
Nyamasore Primary School	700,000.00			700,000	700,000	-
Sangla Primary School	900,000.00			900,000	900,000	-
Dagamoyo Primary School	400,000.00			400,000	400,000	-
Kandaria Primary School	600,000.00			600,000	600,000	-
Gundarut Primary School	600,000.00			600,000	600,000	-
Kolo Primary School	900,000.00			900,000	900,000	-
Ndigwa Primary School	400,000.00			400,000	400,000	-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Lieta Primary School	400,000.00			400,000	400,000	-
Ranyala Primary School	600,000.00			600,000	600,000	-
Rambira Primary School	500,000.00			500,000	500,000	-
Rabel Primary School	600,000.00			600,000		600,000
Rabel Primary School	400,000.00			400,000	400,000	-
Kahoya Primary School	900,000.00			900,000	900,000	-
Omboye Primary School	900,000.00			900,000	900,000	-
Powo Primary School	300,000.00			300,000	300,000	-
Nguka Primary School	300,000.00			300,000	300,000	-
Nguka Primary School	400,000.00			400,000	400,000	-
Rariw Primary School	300,000.00			300,000	300,000	-
Rariw Primary School	400,000.00			400,000	400,000	-
Wera Primary School	4,681.00			4,681	4,681	-
Masala Primary School	300,000.00			300,000	300,000	-
Masala Primary School	400,000.00			400,000	400,000	-
Bar Kogonga Primary School	30,000.00			30,000	30,000	-
Kaminogedo Primary School	30,000.00			30,000	30,000	-
Malanga Primary School	30,000.00			30,000	30,000	-
Memba Primary School	30,000.00			30,000	30,000	-
Mirando Primary School	30,000.00			30,000	30,000	-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Ndonyo Primary School	30,000.00			30,000	30,000	-
Sangla Primary School	30,000.00			30,000	30,000	-
Dagamoyo Primary School	30,000.00			30,000	30,000	-
Kadundo Primary School	30,000.00			30,000	30,000	-
Mabinju Primary School	30,000.00			30,000	30,000	-
Manywanda Primary School	30,000.00			30,000	30,000	-
Masala Primary School	30,000.00			30,000	30,000	-
Misori Primary School	30,000.00			30,000	30,000	-
Ndwara Primary School	30,000.00			30,000	30,000	-
Ndhere Primary School	30,000.00			30,000	30,000	-
Ujwang'a Primary School	400,000.00			400,000		400,000
Lusi Primary School	600,000.00			600,000	600,000	-
Kusa Primary School	600,000.00			600,000	600,000	-
Luoro Primary School	900,000.00			900,000	900,000	-
Nyagoko Primary School	800,000.00			800,000	800,000	-
Boi Primary School	800,000.00			800,000	800,000	-
Kawuondi Primary School	400,000.00			400,000	400,000	-
Pala KobongPrimary School			1,500,000	1,500,000	1,500,000	-
Rambugu Primary School			500,000	500,000	500,000	-
kawuondi Primary			200,000	200,000	200,000	-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Naya Primary School	600,000.00			600,000	600,000	-
Okiro Primary School	600,000.00			600,000	600,000	-
Agok Primary School	400,000.00			400,000	400,000	-
ChiandaPrimarySchool	400,000.00			400,000	400,000	-
Kabonyo Primary School	400,000.00			400,000	400,000	-
Ragengni Primary School	400,000.00			400,000	400,000	-
Manara Primary School	300,000.00			300,000	300,000	-
Migowa Primary School	600,000.00			600,000	600,000	-
Komollo Primary School	700,000.00			700,000	700,000	-
Rarieda Primary School			300,000	300,000	300,000	-
6.28 Saradidi Primary School			400,000	400,000	400,000	-
7.15 LwandaKotieno Primary School			500,000	500,000	500,000	-
7.24 Akuom Primary School			200,000	200,000	200,000	-
7.29 Langu Primary School			700,000	700,000	700,000	-
7.32 Tanga Primary School			700,000	700,000	700,000	-
7.33 Manywanda Primary School			700,000	700,000	700,000	-
7.41 Got Kojwang Primary School			400,000	400,000	400,000	-
7.44 LwalaRahongo Primary School			400,000	400,000	400,000	-
7.55 Kanyichudo Primary School		400,000.00	300,000	700,000	700,000	-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
7.61 Ramba Primary School			600,000	600,000	600,000	-
7.66 Gangu Primary School			600,000	600,000	600,000	0
Kandhere Primary School			500,000	500,000	500,000	-
Kawino Primary School			800,000	800,000	800,000	-
Kiswaro Primary School			400,000	400,000	400,000	-
Majango Primary School			300,000	300,000	300,000	-
Omboye Primary School			400,000	400,000	400,000	-
Barack AyotBulu(Osewre Primary School)			500,000	500,000	500,000	-
Dowa Building and Construction Ltd(Osewre Primary School)			200,000	200,000	200,000	-
Rambira Primary School			200,000	200,000	200,000	-
Wagoro Primary School			400,000	400,000	400,000	-
Kandaria Primary School			200,000	200,000	56,976	143,024
				-		-
						-
Total	**35,354,681**	**400,000**	**12,186,918**	**47,941,599**	**46,098,575**	**1,843,024**
8.0 Secondary Schools Projects (List all the Projects)						
Rachar Secondary School	200,000			200,000	200,000	-
St Mathews Ochienga Mixed Secondary School	1,200,000			1,200,000	1,200,000	-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Luoro Secondary School	200,000			200,000	200,000	-
Nyamasore Secondary School	200,000			200,000		200,000
St Antony Pala Kobong Mixed Secondary School	2,000,000			2,000,000	2,000,000	-
Nyabera Secondary School	1,000,000			1,000,000	1,000,000	-
Raliew Secondary School	200,000			200,000		200,000
Wangarot Secondary School	800,000			800,000	800,000	-
Kandaria Secondary School	1,200,000		3,500,000	4,700,000	4,700,000	-
Raliew Secondary School	400,000			400,000	400,000	-
Lieta Secondary School	900,000			900,000	900,000	-
St. MarysLwak Girls High School	900,000			900,000	900,000	-
St. Nicholas Boi Secondary School	900,000			900,000	900,000	-
Mahaya Secondary School	1,000,000			1,000,000	1,000,000	-
MirandoOngalo Secondary School	1,000,000			1,000,000	1,000,000	-
Migowa Mixed Secondary School	1,000,000			1,000,000	1,000,000	-
St.John'sOboch Secondary School	1,000,000			1,000,000	1,000,000	-
Ruma Secondary School	900,000			900,000	900,000	-
Rangeng'ni Girls Secondary School	1,400,000			1,400,000	1,400,000	-
Rangeng'ni Girls Secondary School	600,000			600,000	600,000	-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Nyamor Secondary School	1,000,000			1,000,000	1,000,000	-
Agok Secondary School	800,000			800,000	800,000	-
St Roberts Ndigwa Mixed Secondary School	1,600,000			1,600,000		1,600,000
Rambugu Secondary School	1,600,000			1,600,000	1,600,000	-
Gagra Secondary School	900,000			900,000	900,000	-
St. Silvester Girls School - Madiany	1,200,000			1,200,000	1,200,000	-
Nyakongo Girls Secondary School	900,000			900,000		900,000
D.O Makasembo Secondary School	900,000			900,000	900,000	-
Siger Secondary School	900,000			900,000	900,000	-
Saradidi Mixed Secondary School	1,600,000			1,600,000	1,600,000	-
Rambira Secondary School	500,000			500,000	500,000	-
Memba Secondary School	30,000			30,000	30,000	-
MirandoOngalo Secondary School	30,000			30,000	30,000	-
St MarysPowo Secondary School	30,000			30,000	30,000	-
Wera Secondary School	25,319			25,319	25,319	
Kokise Secondary School	30,000			30,000	30,000	-
Lieta Secondary School	30,000			30,000	30,000	-
Nyamor Secondary School	30,000			30,000	30,000	-

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Rambugu Secondary School	30,000			30,000	30,000	-
Siger Secondary School	30,000			30,000	30,000	-
St Nicholas Boi Secondary School	30,000			30,000	30,000	-
Majango Secondary School			100,000.00	100,000	-	100,000
Tanga Mixed Secondary School			600,000	600,000	600,000	-
Agok Secondary School			300,000.00	300,000	300,000	-
Ruma Secondary School			700,000	700,000		700,000
Tuju Secondary School			500,000	500,000	500,000	-
Mahaya Secondary School			1,000,000	1,000,000	1,000,000	-
St Marks Wayaga Sec Sch.			800,000	800,000	800,000	-
St Mathew Ochienga Secondary			700,000	700,000	700,000	-
Total	**29,195,319**	**-**	**8,200,000**	**37,395,319**	**33,695,319**	**3,700,000**
9.0 Tertiary institutions Projects (List all the Projects)						
JaramogiOgingaOdinga University of Science & Technology- School of fisheries & Aquatic Sciences	2,300,000		1,904,520	4,204,520	4,204,520	-
The Kisumu National Polytechnic school of Agriculture-Rarieda Campus	2,500,000			2,500,000	2,190,550	309,450

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Rarieda Science Teachers Training College	4,000,000		2,684,243	6,684,243	6,684,243	-
Kenya Medical Training College Rarieda	2,400,000		3,950,090	6,350,090	6,350,090	-
Rarieda Technical Training Institute	2,000,000			2,000,000		2,000,000
Total	**13,200,000**	-	**8,538,853**	**21,738,853**	**19,429,403**	**2,309,450**
10.0 Security Projects						
Ndori Police Station	2,000,000			2,000,000	1,500,000	500,000
Central Uyoma Chief's Office	1,200,000		50,000	1,250,000	1,250,000	-
Madiany Chief's Offices	1,200,000		1,322,034	2,522,034	2,522,034	-
West Katweng'a Assistant Chiefs Office	200,000			200,000	200,000	-
Memba Assistant Chiefs Office	200,000			200,000	200,000	-
South Asembo Chiefs Office	200,000			200,000	200,000	-
Aram Police Station	130,000			130,000		130,000
Ndori Police Post	130,000			130,000		130,000
Asembo Bay Police Post	130,000			130,000		130,000
Deputy County Commissioners Office - Rarieda	400,000	3,586.00		403,586	403,586	-
Deputy County Commissioners Office - Rarieda	200,000			200,000		200,000

Programme/Sub-programme	Original Budget	Adjustments		Final Budget	Actual on comparable basis	Budget utilization difference
	2021/2022	Opening Balance (C/Bk) and AIA	Previous Years' Outstanding Disbursements	2021/2022	30/06/2022	
Nyilima Chief's Office	400,000			400,000		400,000
Owimbi Administration Police Camp	1,330,000		112,540	1,442,540	1,442,540	-
Nyawara Chief's Office	700,000			700,000	700,000	-
West Asembo chief's office	500,000			500,000	500,000	-
Asembo Bay Chiefs Office	700,000			700,000	700,000	-
Security project chq receivrd back					(200,000)	200,000
						-
Total	**9,620,000**	**3,586**	**1,484,574**	**11,108,160**	**9,418,160**	**1,690,000**
11.0 Acquisition of assets						
Rarieda NG-CDF Office	3,560,541			3,560,541	3,358,015	202,526
	3,560,541			**3,560,541**	**3,358,015**	**202,526**
12.0 Others						
12.1 Strategic Plan						
12.2 Innovation Hub						
12.2						
Funds pending approval**		**29,000**		**29,000**		**29,000.00**
Total	**137,088,879**	**15,725,804**	**45,088,879**	**197,903,562**	**189,425,223**	**8,478,339**

(NB: This statement is a disclosure statement indicating the utilisation in the same format as the entity's budgets which are programme based. Ensure that this document is completed to enable consolidation by the National Treasury

XI. Significant Accounting Policies

The principle accounting policies adopted in the preparation of these financial statements are set out below:

1. Statement of Compliance and Basis of Preparation

The financial statements have been prepared in accordance with Cash-basis International Public Sector Accounting Standards (IPSAS) as prescribed by the Public Sector Accounting Standards Board (PSASB) and set out in the accounting policy note below. This cash basis of accounting has been supplemented with accounting for; a) receivables that include imprests and salary advances and b) payables that include deposits (gratuity and retentions).

The financial statements comply with and conform to the form of presentation prescribed by the PSASB. The accounting policies adopted have been consistently applied to all the years presented.

2. Reporting Entity

The financial statements are for the NGCDF-Rarieda Constituency. The financial statements encompass the reporting entity as specified under section 81 of the PFM Act 2012

3. Reporting Currency

The financial statements are presented in Kenya Shillings (Kshs), which is the functional and reporting currency of the Governmentand all values are rounded to the nearest Kenya Shilling.

4. Significant Accounting Policies

The accounting policies set out in this section have been consistently applied by the entity for all the years presented.

a) Recognition of Receipts

The entity recognises all receipts from the various sources when the event occurs, and the related cash has actually been received by the Entity.

Significant Accounting Policies continued

Transfers from the National Government Constituency Development Fund (NG-CDF)

Transfers from the NG-CDF to the constituencyare recognized when cash is received in the Constituency account.

Proceeds from Sale of Assets

Proceeds from disposal of assets are recognized as and when cash is received in the constituency account.

Other receipts

These include Appropriation-in-Aid and relates to receipts such as proceeds from sale of tender documents, rent receipts, interest earned on bank balances, hire of Plant/Equipment/Facilities, Unutilized funds from PMCs among others.

Unutilized Funds from PMCs.

All unutilized funds of the Project Management Committee (PMC)are returned to the constituency account. Unutilized funds from PMCs are recognised as other receipts upon return to the constituency account.

External Assistance

External assistance refers to grants and loans receivedfrom local,multilateral and bilateral development partners.In the year under review there was no external assistance received.

b) Recognition of payments

The Entity recognises all payments when the event occurs and the related cash has actually been paid out by the entity.

Compensation of Employees

Salaries and wages, allowances, statutory contribution for employees are recognized in the period when the compensation is paid.

Use of Goods and Services

Goods and services are recognized as payments in the period when the goods/services are paid for. Such expenses, if not paid during the period where goods/services are consumed, shall be disclosed as pending bills.

Acquisition of Fixed Assets

The payment on acquisition of property plant and equipment items is not capitalized. The cost of acquisition and proceeds from disposal of these items are treated as payments and receipts items respectively. Where an asset is acquired in a non-exchange transaction for nil or nominal consideration and the fair value of the asset can be reliably established, a contra transaction is recorded as receipt and as a payment.

A fixed asset register is maintained by each constituency and a summary provided for purposes of consolidation. This summary is disclosed as an annexure to the financial statements.

5. In-kind contributions

In-kind contributions are donations that are made to the constituency in the form of actual goods and/or services rather than in money or cash terms. These donations may include vehicles, equipment or personnel services. Where the financial value received for in-kind contributions can be reliably determined, the constituency includes such value in the statement of receipts and payments both as receipts and as payments in equal and opposite amounts; otherwise, the contribution is not recorded.

Significant Accounting Policies continued

6. Cash and Cash Equivalents.

Cash and cash equivalents comprise cash on hand and cash at bank, short-term deposits on call and highly liquid investments with an original maturity of three months or less, which are readily convertible to known amounts of cash and are subject to insignificant risk of changes in value. Bank account balances include amounts held at various commercial banks at the end of the financial year.

Significant Accounting Policies continued

7. Accounts Receivable

For the purposes of these financial statements, imprests and advances to authorised public officers and/or institutions which were not surrendered or accounted for at the end of the financial year are treated as receivables. This is in recognition of the government practice where the imprest payments are recognized as payments when fully accounted for by the imprest or AIE holders. This is an enhancement to the cash accounting policy. Other accounts receivables are disclosed in the financial statements.

8. Accounts Payable

For the purposes of these financial statements, Deposits (gratuity and retentions) held on behalf of third parties have been recognized on an accrual basis (as accounts payables). This is in recognition of the government practice of retaining a portion of contracted services and works pending fulfilment of obligations by the contractor and to hold deposits on behalf of third parties. Gratuity earned on monthly is held on behalf of the employee and later paid at the end of the contract period. This is an enhancement to the cash accounting policy adopted by National Government Constituencies Development Fund as prescribed by PSASB. Other liabilities including pending bills are disclosed in the financial statements.

9. Pending Bills

Pending bills consist of unpaid liabilities at the end of the financial year arising from contracted goods or services during the year or in past years. As pending bills do not involve the payment of cash in the reporting period, they are recorded as 'memorandum' or 'off-balance' items to provide a sense of the overall net cash position of the entity at the end of the financial year. When the pending bills are finally settled, such payments are included in the Statement of Receipts and Payments in the year in which the payments are made.

10. Unutilized Fund

Unutilized funds consist of bank balances in the constituency account and funds not yet disbursed by the Board to the constituency at the end of the financial year. These balances are available for use in the subsequent financial year to fund projects approved in the respective prior financial years consistent with sec 6(2) and sec 7(2) of NGCDF Act, 2015

11. Budget

The budget is developed on a comparable accounting basis (cash basis except for imprest which is accounted for on an accrual basis), the same accounts classification basis, and for the same period as the financial statements. The original budget was approved by Parliament on xx June 20xx for the period 1st July 2021to 30th June 2022 as required by law. Included in the adjustments are Cash book opening balance, AIA generated during the year and constituency allocations not yet disbursed at the beginning of the financial year.
A comparison of the actual performance against the comparable budget for the financial year under review has been included in the financial statements.

12. Comparative Figures

Where necessary, comparative figures for the previous financial year have been amended or reconfigured to conform to the required changes in presentation.

13. Subsequent Events

There have been no events subsequent to the financial year end with a significant impact on the financial statements for the year ended 30th June 2022.

14. Errors

Material prior period errors are corrected retrospectively in the first set of financial statements authorized for issue after their discovery by: i. restating the comparative amounts for prior period(s) presented in which the error occurred; or ii. If the error occurred before the earliest prior period presented, restating the opening balances of assets, liabilities and net assets/equity for the earliest prior period presented.

During the year, errors that have been corrected are disclosed under note 14 explaining the nature and amounts.

15. Related Party Transactions

The Entity regards a related party as a person or an entity with the ability to exert control individually or jointly, or to exercise significant influence over the Entity, or vice versa.

XII. Notes to the Financial Statements

1. Transfers fromNGCDF Board

Description	2021-2022	2020-2021
	Kshs	Kshs
NGCDF Board		
AIE NO.B096878		3,400,000
AIE NO.		10,000,000
AIE NO.B104502		15,000,000
AIE NO.B14671		20,000,000
AIE NO.		1,300,001
AIE NO. B104814		34,367,724
AIE NO. B 124652		9,000,000
AIE NO. B 119626		8,500,000
AIE NO. B 128016		13,000,000
AIE NO. B 128258		6,900,000
AIE NO. B 132313		6,000,000
AIE NO. B 132019		6,000,000
AIE NO.B126274		7,000,000
AIE NO. B105069		10,600,000
AIE NO, B140713		12,000,000
AIE NO, B138982		13,000,000
AIE NO. B105267	33,000,000	
AIE NO. B105548	44,000,000	
AIE NO. B105914	22,000,000	
AIE NO. B128682	5,000,000	
AIE NO. B140713	12,000,000	
AIE NO. B105914	12,000,000	
AIE NO.B154411	18,000,000	
AIE NO. B154469	24,088,879	
AIE NO.B089082	12,088,879	
TOTAL	**182,177,758**	**176,067,725**

2. Proceeds From Sale of Assets

	2021-2022	2020-2021
	Kshs	Kshs
Receipts from sale of Buildings	-	-
Receipts from the Sale of Vehicles and Transport Equipment	-	-
Receipts from sale of office and general equipment	-	-
Receipts from the Sale Plant Machinery and Equipment	-	-
Others (specify)	-	-
Total	-	-

3. Other Receipts

	2021-2022	2020-2021
	Kshs	Kshs
Interest Received	-	-
Rents	-	-
Receipts from sale of tender documents	29,000	-
Hire of plant/equipment/facilities	-	-
Unutilized funds from PMCs	-	-
Other Receipts Not Classified Elsewhere	-	-
Total	**29,000**	**-**

4. Compensation Of Employees

	2021-2022	2020-2021
	Kshs	Kshs
NG-CDFC Basic staff salaries	3,465,513	2,602,809
Personal allowances paid as part of salary	-	-
House Allowance	-	-
Transport Allowance	-	-
Leave allowance	-	-
Gratuity to contractual employees	-	-
Employer Contributions Compulsory national social security schemes	21,600	244,520
Total	**3,487,113**	**2,847,329**

5. Use Of Goods and Services

	2021-2022	2020-2021
	Kshs	Kshs
Committee Expenses	5,137,539	6,112,000
Utilities, supplies and services	-	60,710
Communication, supplies and services	1,129,274	474,545
Domestic travel and subsistence	960,791	119,000
Printing, advertising and information supplies & services	-	-
Rentals of produced assets	-	-
Training expenses	1,991,855	1,888,450
Hospitality supplies and services	71,780	50,000
Other committee expenses	4,097,220	3,550,191
Committee allowance	1,035,120	6,856,000
Insurance costs	-	-
Specialized materials and services	-	291,560
Office and general supplies and services	1,342,690	2,555,923
Other operating expenses	3,931,819	1,133,050
Routine maintenance – vehicles and other transport equipment	460,450	322,100
Routine maintenance – other assets	-	-
Total	**20,158,538**	**23,413,529**

6. Transfer To Other Government Units

Description	2021-2022	2020-2021
	Kshs	Kshs
Transfers To Primary Schools (See Attached List)	48,898,575	36,535,746
Transfers To Secondary Schools (See Attached List)	34,695,319	16,460,000
Transfers To Tertiary Institutions (See Attached List)	15,929,403	36,647,631
Total	**99,523,297**	**89,643,377**

Notes To The Financial Statements (Continued)

7. Other Grants and Other transfers

	2021-2022	2020-2021
	Kshs	Kshs
Bursary – secondary schools (see attached list)	27,680,450	12,906,000
Bursary – tertiary institutions (see attached list)	8,349,600	13,416,960
Bursary – special schools (see attached list)	40,000	-
Mock & CAT (see attached list)	-	-
Social Security programmes (NHIF)		
Security projects (see attached list)	9,418,160	10,825,866
Sports projects (see attached list)	3,361,150	-
Environment projects (see attached list)	3,283,900	3,270,148
Emergency projects (see attached list)	11,065,000	4,333,172
Total	**63,198,260**	**44,752,146**

8. Acquisition Of Assets

	2021-2022	2020-2021
	Kshs	Kshs
Purchase of Buildings	-	-
Construction of Buildings	-	-
Refurbishment of Buildings	27,680,450	-
Purchase of Vehicles and Other Transport Equipment	8,349,600	-
Purchase of Household Furniture and Institutional Equipment	-	-
Purchase of Office Furniture and General Equipment	111,320	-
Purchase of ICT Equipment, Software and Other ICT Assets	-	-
Purchase of Specialized Plant, Equipment and Machinery	-	-
Acquisition of Land	-	-
Total	**36,141,370**	**0**

9. Other Payments

	2021-2022	2020-2021
	Kshs	Kshs
Strategic plan	-	-
ICT Hub	-	-
	-	-

10: **Cash Book Bank Balance**

Name Of Bank, Account No. & Currency	2021-2022	2020-2021
	Kshs	Kshs
10A: Bank Accounts (Cash Book Bank Balance)		
Cooperative Bank of Kenya, BondoBranch .Rarieda NG-CDF A/C no.01141295597000	8,478,339	15,696,804
Total	**8,478,339**	**15,696,804**
10 B: Cash on Hand		
Location 1	-	-
Location 2	-	-
Location 3	-	-
Other Locations (*Specify)*	-	-
Total	-	-
[Provide Cash Count Certificates for Each]		

11: Outstanding Imprests

Name of Officer or Institution	*Date Imprest Taken*	*Amount Taken*	*Amount Surrendered*	*Balance*
		Kshs	*Kshs*	*Kshs*
Paul Saoker	27/08/2021	200,000	200,000	-
TeraffinMogaka	29/09/2021	200,000	200,000	-
Vanessa Adongor	05/01/2022	192,000	192,000	-
Vanessa Adongor	17/02/2022	315,000	315,000	-
Kennedy Chacha	09/05/2022	408,000	408,000	-
Total		**1,315,000**	**1,315,000**	-

Notes to the Financial Statement Continued

12A. Retention

	2021-2022	2020-2021
	KShs	KShs
Retention as at 1st July (A)	-	-
Retention held during the year (B)	-	-
Retention paid during the Year (C)	-	-
Closing Retention as at 30th June D= A+B-C	-	-

12B. Gratuity

	2021-2022	2020-2021
	KShs	KShs
Gratuity as at 1st July (A)	-	-
Gratuity held during the year (B)	-	-
Gratuity paid during the Year (C)	-	-
Closing Gratuity as at 30th June D= A+B-C	-	-

13. Balances Brought Forward

	2021-2022 (1st July 2021)	2020-2021 (1st July 2020)
	Kshs	Kshs
Bank accounts	15,696,804	82,459
Cash in hand	-	-
Imprest	-	-
Total	**15,696,804**	**82,459**

14. Prior Year Adjustments

Description of the error	Balance b/f FY 2020/2021 as per Audited Financial statements Kshs	Adjustments Kshs	Adjusted Balance**b/f FY 2021/2022 Kshs
Bank account Balances	203,000	-	-
Cash in hand	-	-	-
Accounts Payables	-	-	-
Receivables	-	-	-
Others (*specify*)	-	-	-
Total	**203,000**	-	-

15. Changes in Accounts Receivable – Outstanding Imprests

	2021-2022 KShs	2020-2021 KShs
Outstanding Imprest as at 1st July (A)	-	-
Imprest issued during the year (B)	**4,830,000**	-
Imprest surrendered during the Year (C)	**4,830,000**	-
closing accounts in account receivables D= A+B-C	-	-
Changes in Account Receivables E= D-A	-	-

16. Changes in Accounts Payable – Deposits and Retentions

	2021–2022 KShs	2020–2021 KShs
Deposit and Retentions as at 1st July (A)	-	-
Deposit and Retentions held during the year (B)	-	-
Deposit and Retentions paid during the Year (C)	-	-
closing account payables D= A+B-C	-	-
Changes in Accounts Payable E= D-E	-	-

17. Other Important Disclosures

17.1: Pending Accounts Payable (See Annex 1)

	2021-2022	2020-2021
	Kshs	Kshs
Construction of buildings	-	-
Construction of civil works	-	-
Supply of goods	-	-
Supply of services	-	-
Total	-	-

17.2: Pending Staff Payables (See Annex 2)

	2021-2022	2020-2021
	Kshs	Kshs
NGCDFC Staff	-	-
Others (*specify*)	-	-
Total	-	-

17.3: Unutilized Fund (See Annex 3)

	2021-2022	2020-2021
	Kshs	Kshs
Compensation of employees	212,887	-
Use of goods and services	(2,483,747)	2,971,530
Amounts due to other Government entities (see attached list)	7,852,474	400,000
Amounts due to other grants and other transfers (see attached list)	2,665,199	12,325,274
Acquisition of assets	202,526	
Others (*specify*)	-	-
Funds pending approval	29,000	-
Total	**8,478,339**	**15,725,804**

17.4: PMC account balances (See Annex 5)

	2021-2022	2020-2021
	Kshs	Kshs
PMC account balances (see attached list)	21,406,106	583,801
Total	**21,406,106**	**583,801**

Annexes

Annexes: 1Analysis of Pending Accounts Payable

Supplier of Goods or Services	Original Amount	Date Contracted	Amount Paid To-Date	Outstanding Balance 2022	Comments
	a	b	c	d=a-c	
Construction of buildings					
1.					
2.					
3.					
Sub-Total					
Construction of civil works					
4.					
5.					
6.					
Sub-Total					
Supply of goods					
7.					
8.					
9.					
Sub-Total					
Supply of services					
10.					
Sub-Total					
Grand Total					

Annex 2 - Analysis of Pending Staff Payables

Name of Staff	Designation	Date employed	Outstanding Balance 30th June 2022	Comments
NG-CDFC Staff				
1.				
2.				
3.				
Sub-Total				
Grand Total				

Annex 3 – Unutilized Fund

Name	Brief Transaction Description	Outstanding Balance 2021/22	Outstanding Balance 2020/2021	Comments
Compensation of employees	Payment of all benefits accruing to all the NG-CDF Staff	212,887.00	-204252	Unspent balance
Use of goods & services	Payment of committee siting allowances and other allowances to the NG-CDF members, M&E, Capacity building and other office utilities	-2483747		Unspent balance
Amounts due to other Government entities				
Obaga Primary School	Completion of an Administration block	400,000		
Kokise Primary School	Renovation of 3 Classrooms	300,000		
Ruma Primary school	Renovation of 4 classrooms	400,000		
Rabel Primary School	Fencing of 2 acres school compound	600,000		
Kandaria Primary School	Renovation of 2 classrooms	143,024		
Primary Schools	**Total Transfers to Primary schools**	**1,843,024.00**	**20,302,363**	**Unspent balance**
St Roberts Ndigwa Mixed Secondary School	Construction of 50 bed Dormitory	1,600,000		
Nyakongo Girls Secondary School	Construction of 1No.Classroom.	900,000		

Name	Brief Transaction Description	Outstanding Balance 2021/22	Outstanding Balance 2020/2021	Comments
Majango Secondary School	Fencing of 2 acres school compound	100,000		
Ruma Secondary School	Construction of 1classroom	700,000		
Nyamasore Secondary School	Completion of 1 classroom	200,000		
Raliew Secondary School	Completion of 1 classroom	200,000		
Secondary School	**Total Transfers to Secondary schools**	**3,700,000**	**11,254,676**	**Unspent balance**
The Kisumu National Polytechnic school of Agriculture-Rarieda Campus	Construction of 1workshop	309,450		
Rarieda Technical Training Institute	Fencing of 5 Acres compound	2,000,000		
Tertiary Institutions	**Transfers to Tertiary Institutions**	**2,309,450**	**12,726,810**	**Unspent balance**
Sub-Total		**7,852,474**	**44,283,849**	
Amounts due to other grants and other transfers				
Bursary		660,000	6,029,027	Unspent balance
Security		1,690,000	342,939	Unspent balance
Sports			4,931,950	Unspent balance
Environment			3,547,973	Unspent balance
Emergency		315,200	4,842,959	Unspent balance
Sub-Total		**2,665,200**	**19694847**	
Acquisition of assets		**202,526**		Unspent balance

Name	Brief Transaction Description	Outstanding Balance 2021/22	Outstanding Balance 2020/2021	Comments
Others (*specify*)			5,577,027	
Sub-Total			**5,577,027**	
Funds pending approval	Aia collected from sale of tender documents	**29,000**	**3,500,000**	Unspent balance
Grand Total		**8,478,339**	**60,582,682**	

Annex4 – Summary of Fixed Asset Register

Asset class	Historical Cost b/f (Kshs) 2020/21	Additions during the year (Kshs)	Disposals during the year (Kshs)	Historical Cost (Kshs) 2021/22
Land	0	0	0	0
Buildings and structures	7,971,517	2,600,400	0	10571917
Transport equipment	3,130,000	646,295	0	3776295
Office equipment, furniture and fittings	6,574,648	111,320	0	6685968
ICT Equipment, Software and Other ICT Assets	855,000		0	855000
Other Machinery and Equipment				
Heritage and cultural assets				
Intangible assets				
Total	**18,531,165**	**3,358,015**	**-**	**21,889,180**

Annex 5 –PMC Bank Balances As At 30th June 2022

PMC	Bank	Account number	Date of account opening.	Bank Balance 2021/22	Bank Balance 2020/21
PMC	Bank	Account number		Bank Balance	Bank Balance
				2021/2022	2020/2021
GUNDARUT PRIMARY SCHOOL	EQUITY-BONDO	0750293590993	1/7/2021	72,465	
KOKISE PRIMARY SCHOOL	EQUITY-BONDO	0750296299683	1/7/2021	1,626	
KOMOLLO PRIMARY SCHOOL	EQUITY-BONDO	0750293098932	1/7/2021	8,167	
KONJIKO PRIMARY SCHOOL	EQUITY-BONDO	0750296155265	1/7/2021	202,501	
LUORO SECONDARY SCHOOL	EQUITY-BONDO	0750270073080	1/7/2021	142,696	
MANYWANDA PRIMARY SCHOOL	EQUITY-BONDO	0750294279589	1/7/2021	905,291	
MITURI PRIMARY SCHOOL	EQUITY-BONDO	0750293726742	1/7/2021	44,208	
OKIRO PRIMARY SCHOOL	EQUITY-BONDO	0750293809630	1/7/2021	2,815	
OMBOYE PRIMARY SCHOOL	EQUITY-BONDO	0750295032360	1/7/2021	913,569	
RAMBIRA PRIMARY SCHOOL	EQUITY-BONDO	0750293749517	1/7/2021	4,487	
RUMA PRIMARY SCHOOL	EQUITY-BONDO	0750297417012	1/7/2021	1,000,223	
SARADIDI MIXED SECONDARY SCHOOL	EQUITY-BONDO	0750282672993	1/7/2021	1,603,946	
KOKISE PRI. SCHOOL	EQUITY-BONDO	0750296299683	1/7/2021	1,926	

PMC	Bank	Account number	Date of account opening.	Bank Balance 2021/22	Bank Balance 2020/21
KAMINOGEDO PRIMARY SCHOOL	KCB-BONDO	1108419925	1/7/2021	401,394	
LWEYA PRIMARY SCHOOL	KCB-BONDO	1109542135	1/7/2021	1,609	
KASIRI PRIMARY SCHOOL	KCB-BONDO	1106759826	1/7/2021	1,257	
MANERA PRIMARY SCHOOL	KCB-BONDO	1129898342	1/7/2021	2,879	
MIRANDO ONGALO SECONDARY SCHOOL	KCB-BONDO	1106999045	1/7/2021	1,000,393	
NYAMASORE SECONDARY SCHOOL	KCB-BONDO	1106591275	1/7/2021	592	
RABEL PRIMARY SCHOOL	KCB-BONDO	1122796161	1/7/2021	403,841	
RACHAR SECONDARY SCHOOL	KCB-BONDO	1108358357	1/7/2021	676	
RAMBUGU SECONDARY SCHOOL	KCB-BONDO	1156700272	1/7/2021	702,604	
RARIW PRIMARY SCHOOL	KCB-BONDO	1106761286	1/7/2021	305,425	25
WAYAGA SECONDARY SCHOOL	EQUITY-BONDO	0750263416613	1/7/2021	8,958	152
SIGER SECONDARY SCHOOL	KCB-BONDO	1108413625	1/7/2021	893,282	259
ST.ANTHONY PALA KOBONG SEC.	KCB-BONDO	1226567703	1/7/2021	232,581	305
MABINJU PRIMARY SCHOOL	KCB-BONDO	1279775343	1/7/2021	849	360
ST.SYLVESTERS GIRLS SCHOOL	KCB-BONDO	1133548806	1/7/2021	4,258	509
TANGA PRIMARY SCHOOL	KCB-BONDO	1131642341	1/7/2021	899,471	551

PMC	Bank	Account number	Date of account opening.	Bank Balance 2021/22	Bank Balance 2020/21
WAGORO PRIMARY SCHOOL	KCB-BONDO	12290030784	1/7/2021	62,170	777
NYAMOR SECONDARY SCHOOL	CO-OP-BONDO	01141851117100	1/7/2021	998,975	908
WERA PRIMARY SCHOOL	CO-OP-BONDO	01141850824300	1/7/2021	25,855	930
AGOK PRIMARY SCHOOL	CO-OP-BONDO	01141851119891	1/7/2021	397,242	945
AGOK SECONDARY SCHOOL	EQUITY-BONDO	0750269070284	1/7/2021	356	975
BOI PRIMARY SCHOOL	CO-OP-BONDO	01141871288700	1/7/2021	802,735	1,140
CHIANDA PRIMARY SCHOOL	NATIONAL BANK	01224024339702	1/7/2021	50,078	1,153
MITURI PRI.SCHOOL	EQUITY-BONDO	0750293726742	1/7/2021	5,975	1,254
KAHOYA PRIMARY SCHOOL	EQUITY-BONDO	0750299088629	1/7/2021	327,739	1,280
KAWUONDI PRIMARY SCHOOL	EQUITY-BONDO	075029616938	1/7/2021	20,255	1377
KMTC-RARIEDA	KCB-BONDO	1203540949	1/7/2021	175,959	1,472
KMTC-RARIEDA	EQUITY-BONDO	0750280785704	1/7/2021	601,054	1,608
KISWARO PRIMARY SCHOOL	KCB-BONDO	1134539738	1/7/2021	114,444	1,664
ADUOYO PRIMARY SCHOOL	CO-OP-BONDO	01139623619000	1/7/2021	2,443	1,694
LIETA PRIMARY SCHOOL	EQUITY-BONDO	0750295915357	1/7/2021	1,204,836	1,742
MAHAYA SEC. SCHOOL	EQUITY-BONDO	0750294997397	1/7/2021	2,952	1,780

PMC	Bank	Account number	Date of account opening.	Bank Balance 2021/22	Bank Balance 2020/21
LUORO PRIMARY SCHOOL	EQUITY-BONDO	0750297146618	1/7/2021	37,183	1,831
LUSI PRIMARY SCHOOL	EQUITY-BONDO	0750193058068	1/7/2021	275	1895
MASALA PRIMARY SCHOOL	KCB-BONDO	1117455149	1/7/2021	557,164	1,967
MIGOWA PRIMARY SCHOOL	EQUITY-BONDO	0750293737226	1/7/2021	12,121	2,040
MIRANDO PRIMARY SCHOOL	EQUITY-BONDO	0750293838178	1/7/2021	253,986	2,062
MIRAU PRIMARY SCHOOL	EQUITY-BONDO	0750293891744	1/7/2021	1,408	2,100
NDHERE PRIMARY SCHOOL	EQUITY-BONDO	0750279120054	1/7/2021	147	2,334
NDONYO PRIMARY SCHOOL	KCB-BONDO	1289590427	1/7/2021	20,899	2,380
NDORI POLICE STATION	CO-OP-BONDO	01141624546000	1/7/2021	501,465	2,620
NYABERA SECONDARY SCHOOL	KCB-BONDO	1106606086	1/7/2021	11,784	2,711
NYAKONGO GIRLS SECONDARY	KCB-BONDO	1137095156	1/7/2021	9,833	2,876
POWO PRIMARY SCHOOL	EQUITY-BONDO	0750293739498	1/7/2021	5,359	2,902
RAGENG'NI PRIMARY SCHOOL	EQUITY-BONDO	0750279428160	1/7/2021	74,681	2,975
AKUOM PRIMARY SCHOOL	CO-OP-BONDO	01141851013800	1/7/2021	3,810	3,019
RALIEW SECONDARY SCHOOL	KCB-BONDO	1117875660	1/7/2021	402,489	3,167
RAGENG'NI GIRLS SECONDARY SCHOOL	EQUITY-BONDO	0750279428160	1/7/2021	1,427,101	3,336

PMC	Bank	Account number	Date of account opening.	Bank Balance 2021/22	Bank Balance 2020/21
SANGLA PRIMARY SCHOOL	CO-OP-BONDO	01141851073300	1/7/2021	382,225	3,489
SOUTH ASEMBO CHIEF'S OFFICE	KCB-BONDO	1279873108	1/7/2021	1,669	4,112
KOMOLO PRIMARY SCHOOL	EQUITY-BONDO	0750293098932	1/7/2021	8,167	4,542
ST.NICHOLAS BOI SEC.	CO-OP-BONDO	01141624391500	1/7/2021	900,062	5,668
ST.PHILIPS WERA SPECIAL UNIT	CO-OP-BONDO	01141850824300	1/7/2021	25,855	82,215
ST.JOHN'S OBOCH	KCB-BONDO	1106547144	1/7/2021	1,000,376	420,686
UJWANG'A PRIMARY SCHOOL	EQUITY-BONDO	0750193150592	1/7/2021	400,570	
WANGAROT SECONDARY SCHOOL	EQUITY-BONDO	0750295111535	1/7/2021	801,378	
WEST KATWENGA ASS. CHIEFS OFFICE	KCB-BONDO	1279394226	1/7/2021	6,624	
NYAGWARA ASS. CHIEFS OFFICE	CO-OP-BONDO	1141851078700	1/7/2021	2,425	
Total				**21,406,106**	**583,801**

Annex 6: Progress On Follow Up of Auditor Recommendations

The following is the summary of issues raised by the external auditor, and management comments that were provided to the auditor and subsequent progress made on the resolution of the issues.

Reference No. on the external audit Report	**Issue / Observations from Auditor**	**Management comments**	**Status:** *(Resolved / Not Resolved)*	**Timeframe:** *(Put a date when you expect the issue to be resolved)*
RARIEDA NG-CDF/AOG/ 02/2022	1. **Mstatement other grants and transfers** The statement of receipts and payments reflects an amount of Kshs.44,752,146 in respect of other grants and transfers which as disclosed in Note 7 to the financial statement which includes Kshs.380,000 in respect to bursary to special schools is not in the financial statements but it is reflected in the supporting schedule. In the circumstance, the accuracy of the other grants and transfers, figure Kshs.44,572,146 could not be confirmed	Bursary to special schools was erroneously left out in the project proposal of 2020/2021 FY but during the year, Students in special schools who risked missing their final exams appealed to the office for financial intervention. This necessitated the Committee to award these needy students bursary worth Ksh 380,000 an expenditure that was charged to bursary secondary schools vote. Sir non-inclusion of bursary to special schools in the project proposal was an oversight of the committee that will never re-occur.	Submitted to Office of the Auditor General for review	30.09.2022
RARIEDA NG-CDF/AOG/ 02/2022	**Inclusion of cancelled cheques and misstated PAYE** The statement of receipts and	The reversed statutory cheques were not included in the financial statement as payments	Submitted to Office of the Auditor General for	30.09.2022

Reference No. on the external audit Report	Issue / Observations from Auditor	Management comments	Status: *(Resolved / Not Resolved)*	Timeframe: *(Put a date when you expect the issue to be resolved)*
	payment reflects Kshs.2,847,329 for the year ended 30th June, 2021 in respect of compensation of employees and as disclosed in Note 4 to the financial statements, this amount includes employer contributions to National Social Security Scheme (NSSF) amount of Kshs.244,329 which in turn includes cancelled cheques amounting to Kshs.105,028 in respect of payments to NHIF, NSSF and PAYE. Further, statutory deductions amounting to Kshs. 552,104 in respect of PAYE were not included in the financial statements. In the circumstance, the accuracy and completeness of the compensation of employee amount of Kshs.2,847,329 could not be confirmed	but rather as receipts hence their respective cheques were re-written and again Sir the past regime had lapses in remitting the statutory deduction which was against the employment act but since I took over as the Fund Account Manager I have ensured timely remittance of statutory deductions so as to comply with the act. Sample of the pay in slips, acknowledgement receipts of the same have been attached to show compliance	review	
RARIEDA NG-CDF/AOG/ 02/2022	**Unsupported committee expenses** The statement of receipts and payments reflects a balance of	Availed vouchers combined various expenditure items that ought to have been	Submitted to Office of the Auditor General for review	30.09.2022

Reference No. on the external audit Report	Issue / Observations from Auditor	Management comments	Status: *(Resolved / Not Resolved)*	Timeframe: *(Put a date when you expect the issue to be resolved)*
	Kshs.23,413,529 for the year ended 30th June, 2021 in respect of use of goods and services and which as disclosed in Note 5 to the financial statements includes an amount of Kshs.6,112,000 in respect to committee expenses which is supported by a schedule which reflects a balance of Kshs.12,721,250 resulting to a variance of Kshs.6,609,250 which has not been explained or reconciled. In the circumstance, the accuracy of committee expenses amount of Kshs.23,413,529 could not be confirmed.	isolated in individual vouchers. The schedules outlining the breakdown of the expenditure amounts charged per expenditure item of every voucher under note 5 relating to use of goods and services was availed for audit review.		
RARIEDA NG-CDF/AOG/ 02/2022	**Other grants and transfers** The statement of receipts and payments reflects an amount of Kshs.44,752,146 in respect to other grants and transfers which as disclosed in Note 7 to the financial statements includes	The amount stated in the financial statement is the correct figures as far as Security Project is concern. The stated variance of Kshs.450,000 is as a result of misfiling of Two payment vouchers in respect to	Submitted to Office of the Auditor General for review	30.09.2022

Reference No. on the external audit Report	Issue / Observations from Auditor	Management comments	Status: *(Resolved / Not Resolved)*	Timeframe: *(Put a date when you expect the issue to be resolved)*
	Kshs.10,825,866 for security projects while supporting schedule reflects an amount of Kshs.11,275,866 resulting to a variance of Kshs.450,000 which has not been explained or reconciled. In the circumstance, the accuracy of the security projects amount of Kshs.10,825,866 could not be confirmed	bursary secondary schools of Kshs.300,000 and 150,000 totaling to Kshs.450,000.		
RARIEDA NG-CDF/AOG/ 02/2022	**Unsupported other committee expenses.** The statement of receipts and payments reflects a balance of Kshs.23,413,529 in respect of use of goods and services which as disclosed in Note 5 to the financial statements includes Kshs.3,550,191 in respect to other committee expenses which has jnot been explained or supported. In the circumstance, the accuracy of other committee expenses of Kshs.3,550,191could not be confirmed	Sir during my submission of management letter Ref: **Rarieda NG-CDF/AOG 01/ 2022 dated 18th July 2022** I submitted responses and evidence of supporting documents and vouchers to that respect the figures are accurate as per the presented amended Financial Statement.	Submitted to Office of the Auditor General for review	30.09.2022

Reference No. on the external audit Report	Issue / Observations from Auditor	Management comments	Status: *(Resolved / Not Resolved)*	Timeframe: *(Put a date when you expect the issue to be resolved)*
RARIEDA NG-CDF/AOG/ 02/2022	**Unsupported transfers to other government Units** The statement of receipts and payments reflects a balance of Kshs.89,643,377 in respect of transfers to other government units which as disclosed in Note 6 to the financial statements includes transfers to Primary and Secondary schools Kshs.36,535,746 and Kshs.16,460,000 which included Kshs.1,200,000 and Kshs.4,278,311 respectively which had not been supported. In the circumstance, the accuracy of transfers to Primary and Secondary schools Kshs.36,535,746 and Kshs.16,460,000 respectively could not be confirmed	The transfer to other government units note 6 of the financial statement can be illustrated by the excel schedule availed in your office mail which shows breakdown of transfers to primary schools and secondary schools respectively.	Submitted to Office of the Auditor General for review	30.09.2022

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Name
Fund Account Manager.